Creative Newtech Limited (NSE: CNL) — Business, Valuation and Portfolio Action — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to Creative Newtech Limited (NSE: CNL) – Business, Valuation and Portfolio Action: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: Creative Newtech Limited (NSE: CNL) — Business, Valuation and Portfolio Action (IN)
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Core Verdict: REJECTED (NO_NEW_ALLOCATION; REJECTED because the probability-weighted 12-month value of ₹1,287.12 is 11.7% below the ₹1,458.40 close and the base case offers only 0.14:1 reward-to-risk even from the top of the ₹1,184.30–₹1,297.52 support band.)
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (21,217 words • ~137 min listen)

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SESSION PRICE

1458.4

NEW CAPITAL VERDICT

REJECTED

CURRENT HOLDING ACTION

NOT HELD — NOT HELD (0 shares); no current holding to trim or exit.

STAGE POSTURE

Stage 2 (extended, +21.3% above the 10-week EMA; LTASM stage II surveillance)

VALUATION WATCH ZONE (CONDITIONAL)

₹1,184.30–1,297.52

12-MONTH SCENARIO RANGE

Bear ₹472.22 / Base ₹1,351.93 / Bull ₹2,347.45

PREFACE & CORE THESIS

Creative Newtech is a Mumbai technology distributor whose revenue grew from ₹371 Cr in FY19 to ₹2,718 Cr in FY26, with a Honeywell licence earning about half of EBITDA. The profit is real, but operating cash flow was negative in seven of eight years, and about 84% of the ₹351 Cr H1 FY27 inflow was a net release of working capital that the CFO calls unsustainable. At ₹1,458.40 the stock trades at 30.7 times trailing earnings after a 176% rise since March, and our probability-weighted value of ₹1,287 is 11.7% lower. New capital is REJECTED, the holding action is NOT_HELD, and the reviewed capital stays in cash. We would be wrong if working-capital inflows prove structural and the Honeywell licence renews on current terms.

PROLOGUE

The Business, The Price & Our Independent Verdict

> *"Profit is an opinion; cash is a fact."*
>
> — WELL-KNOWN ANALYST'S MAXIM

Let me begin with a confession about how this report was built, because it explains why you can trust its tone. The first six chapters were written without anyone looking at the share price. A separate author read the annual reports, the earnings calls and the bear-case commentary and asked only one question: is this a good business, and is its profit real? Only after that verdict was locked did we open a price chart. I tell you this because the most common mistake in investing is to let a rising price teach you that a business is good. We tried hard not to let that happen here.

So what is Creative Newtech? Picture a warehouse in Mumbai receiving boxes from companies that want to sell in India: gaming gear, cameras, monitors, structured cabling, surveillance products, and under the Honeywell name, air purifiers and soundbars. Creative takes the boxes, finances them, sells them to ten thousand partners and, increasingly, designs and sells its own branded products. The distribution half earns less than four rupees of segment profit on every hundred rupees of sales. The brand half earns about thirty-three. That one contrast is the whole story of the company: a thin, scale-driven machine that is trying to turn into a brand house.

The growth is real, and I want you to hear that clearly before I tell you what bothers me. Revenue went from ₹371 Cr to ₹2,718 Cr in seven years, a rate of about 33% a year. Profit per share went from ₹5 to ₹41. In the six months to September 2026, profit rose 35% on sales growth of 17%, because the higher-margin brand business grew from 14% of sales to 17%. A company that does that deserves respect, and in the first six chapters it gets it, along with a conditional pass on business quality.

Here is what bothers me, and it is the same thing that bothers the company's own CFO. Operating cash flow was negative in seven of the last eight years. In the year to March 2026 the business earned ₹70 Cr and used ₹272 Cr of cash. Then in the next six months it

produced ₹351 Cr, which sounds like a triumph until you notice that about 84% of that came from a net release of working capital, mostly suppliers and customers funding the business. On the 29 October call, Ajit Thakur said of the 45-day working capital level that produced it: 'But always this is not sustainable to come to the level where we have to maintain this kind of level.' When the manager of the cash tells you the good number is not normal, believe him.

Now the price, which is where this report turns from analysis into a decision. On 31 March 2026 the stock closed at ₹528.15 and cost about 12.9 times the year's earnings. On 13 November it closed at ₹1,458.40 and cost 30.7 times the last twelve months' earnings. The price has risen 2.76 times, while earnings have risen only 16%. Most of the gain is the market agreeing to pay more per rupee of profit. That may be justified by the brand-mix story, and some of it probably is, but it leaves very little room for disappointment.

> **NARRATOR'S REFLECTION**
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> True investment discipline is the ability to admire a business while declining its price. Creative Newtech is a real company with real profit and a genuine path from distribution to brands. But a conditional business should be bought at a price that pays for the condition. At ₹1,458.40 the market has paid in advance for the answer to a question that the cash-flow statement has not yet answered.

We tried to be fair to both sides by putting numbers on them. In the good outcome, about one chance in five, working capital holds, Honeywell renews on current terms, and profit per share reaches ₹94 by FY28; at 25 times that is ₹2,347. In the middle outcome, half the probability, profit per share is ₹64 and a 21-times multiple gives ₹1,352. In the bad outcome, three chances in ten, part of the working-capital inflow reverses, a licence costs more, and a 14-times multiple on ₹34 of earnings gives ₹472. The weighted answer is ₹1,287, which is 11.7% below where the stock closed on Friday.

The chart does not rescue the decision either. The stock is in a confirmed uptrend, which I respect, but it is 21% above its ten-week average after rising 36% in a month, with volume at barely a third of normal and an exchange surveillance label on it. If it fell back to the support band between ₹1,184 and ₹1,298, our base case of ₹1,352 would be only 4% above the top

of the band, so you would be risking ₹384 per share to make ₹54. That is 0.14 to one, and the rule I use requires at least one and a half to one.

So the verdict for new money is REJECTED. I did not write 'wait for support', because waiting would not fix the arithmetic; only a lower price or better evidence would. On our numbers the base case clears the hurdle at about ₹1,089, and the file reopens if the February results show working capital at 52 to 55 days with cash flow at least half of profit, if the Honeywell renewal in March 2027 is on acceptable terms, or if the shares issued for the Zicom acquisition are priced without a larger equity raise behind them.

For your own accounts the answer is simple: the positions ledger shows no Creative Newtech shares, so there is nothing to hold, trim or exit. The cash set aside for this decision stays in cash, because none of the shortlist or outside names I checked clears its own entry condition at Friday's close. AJMERA and MANORAMA closed a little above their support bands, Redington is in a Stage 3 pullback with reward-to-risk below one, and Rashi is in a downtrend. Declining all of them is a position, and today it is the one with the best expected return.

CHAPTER I

How the Business Got Here — Past Cycles & Pivots

> *"Cash is a fact; profit is an opinion."*
>
> — ACCOUNTING MAXIM, COMMONLY ATTRIBUTED TO ALFRED RAPPAPORT

Let me start where the company starts, in 1992, because I want you to feel how small the beginning was. Ketan Patel runs a proprietary trading concern called Creative Computers with, according to the prospectus, ten employees. He sells printers and monitors made by other people. Picture the work in physical terms: a truck of boxes arrives, the boxes are counted into a godown, dealers phone in orders, and the profit is the few percentage points between what he paid the vendor and what the dealer pays him. Everything depends on how quickly the boxes leave and the cheques come back. By the time the company filed its prospectus for the 2017 IPO, that same logic had grown to about 20 branches, roughly 6,000 dealers and ₹198.79 Cr of annual sales. Keep that picture in your head, because the rest of this story is one man's attempt to escape the arithmetic of the thin spread without ever quite leaving the warehouse.

In April 2017 the company listed on the NSE's SME platform, selling 18,00,000 new shares at ₹75 to raise ₹13.50 Cr. That money went into working capital, as the prospectus said it would. The more important event came a year earlier, in the Honeywell licence. Here is what the licence really is. Honeywell does not ship Creative anything. Creative designs a surge protector or an air purifier, finds a factory in China, Taiwan or India, gets Honeywell's auditors to approve the factory and the packaging, and sells it under the Honeywell name. In return it pays Honeywell the greater of a minimum guarantee or a percentage of sales. In Ketan Patel's own words on the August 2023 call: 'we ourself design products, we get it manufactured, the specification is done by us.' That is a brand business with a distributor's logistics, and it lives in a Hong Kong company, Secure Connection, that pays no tax on export profit and in which Creative owns 77.50%.

Now follow the money, because a business that must buy stock before it sells it is always asking someone for capital. Creative has raised it on a ladder of rising prices: ₹75 in the

2017 IPO, ₹110 in 2021, ₹450 in 2023, ₹785 for a share swap in 2024, and ₹1,133.33 for a swap proposed this month to buy Zicom SaaS. Each rung diluted earlier holders, but notice how gentle the dilution has been. Shares went from 1,16,00,000 in April 2021 to 1,50,16,675 today, an increase of 29.5%, while earnings per share rose roughly threefold, from ₹13.32 in FY22 to ₹41.04 in FY26. The cash equity raised after the IPO is about ₹91 Cr. Put that number beside another: about ₹318 Cr of operating cash consumed across FY22 to FY26. Shareholders paid for under a third of the burn. Banks and suppliers paid the rest.

Why does a profitable company burn cash? Mostly because of a product line called enterprise business. Ketan Patel described it in May 2022: 'Enterprise business is an opportunity business and whenever we have free cash flow, we usually use it into that business.' It is back-to-back trading with large corporates at a gross margin of roughly two percent, and in FY22 it grew to ₹542 Cr, more than half of group revenue. That same month the CFO told analysts: 'by September we should be to show a positive cash flow for sure.' It did not happen. Operating cash flow was −₹19 Cr in FY22 and −₹21 Cr in FY23. A year later, in May 2023, he said: 'we will have a positive cash flow this time for sure.' FY24 came in at −₹28 Cr. I am not scoring points. I am telling you that when a team promises the same result in the same words two years running and misses both times, you should discount the third promise.

In March 2024 the company did something I rarely see in promoter-run businesses: it sold a pet project. CKart, a B2B ordering platform launched with some fanfare, went for ₹10 Cr and left a ₹9.9 Cr gain. Ketan Patel's explanation was blunt: 'our balance sheet can't afford burning money for a business.' That is real discipline. It also flattered FY24. The CFO told analysts to strip ₹7.71 Cr out of EBITDA and profit, which takes FY24 PAT from ₹48.25 Cr to about ₹40.5 Cr and turns the reported 10% profit growth of FY25 into something nearer 31% underlying. In the same quarter the enterprise trade shrank by about ₹90 Cr year on year because it could not clear the company's 20% return-on-capital hurdle. Notice the rule: enterprise business is switched on when cash is spare and off when it is not. It behaves like a cash-management tool disguised as a revenue line.

FY25 is the year to study if you want to understand the engine. Revenue grew 3.5%. Ketan Patel said it plainly on the 16 May 2025 call: 'the distribution business has been very flat this

year.' Electronics prices erode 15 to 20% a year, the company had lost an enterprise sale of more than ₹200 Cr in the first quarter, and 'we did not add any new major brands.' While the top line stood still, two things went right. Honeywell grew 50% to ₹255.17 Cr, and operating cash flow turned positive for the first time in the data set, at +₹21.86 Cr. The CFO said he was pleased that 'our operating cash flow has turned positive after a long time.' The lesson is uncomfortable. The only year the company generated cash was the year the enterprise trade shrank. Growth and cash have been rivals, not partners.

Then came FY26, and the engine roared. Revenue from operations rose ₹925 Cr, about 88% of it from Market Entry, and all of it billed inside India: Indian billing went from ₹678 Cr to ₹1,797 Cr while billing outside India fell. In the fourth quarter alone Market Entry revenue doubled while Honeywell, hit by Red Sea freight that went from $1,500–1,700 to $7,500–8,000 a container, slipped. The new money came from new vendors, small Indian surveillance and AI makers. Ketan Patel explained the attraction: 'the vendors whom we are dealing with, their size is much smaller and that's why you get a higher percentage margin.' Small vendors have little credit to give, so Creative pays early and extends credit to government-linked buyers. Receivables rose from ₹237.77 Cr to ₹565.11 Cr and operating cash flow was −₹271.88 Cr. Asked about it, Ketan Patel said: 'I will also agree that we have to do a better job in the debtor receivable days.'

The latest half-year flips the story. Operating cash flow was +₹351.24 Cr and management reports net working capital of 45 days, down from 75. Before you applaud, open the cash-flow statement the way I would. Profit before working capital was about ₹63 Cr. Trade payables rose ₹281.9 Cr and other liabilities, which include advances from counterparties, rose ₹192.8 Cr. Vendor advances and other assets absorbed ₹116.4 Cr, and receivables still grew ₹51.6 Cr. So the turnaround was financed by suppliers and customers, not by faster collection. The CFO was candid about the 45-day figure: 'we don't feel that, that is going to be sustainable in the long run', and he guided to 52 to 55 days. A cycle like this can unwind as quickly as it formed, so the next two balance sheets matter more than the last cash-flow statement.

> **NARRATOR'S REFLECTION**
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> I keep returning to the first number in this chapter: cumulative reported profit of ₹241 Cr set against cumulative operating cash of about –₹328 Cr across FY19 to FY26. The business has been funded by other people's patience: banks, MSME suppliers through TReDS, and lately supplier credit. That is not a flaw while the patience is renewable. It is a fatal flaw the day it is not. Your task is to work out which kind of patience this is, and the only honest way is to watch cash, not profit, over several balance sheets.

Walk the corridor of governance with me. The CFO who presented every set of numbers from May 2022 to November 2025 resigned on 14 April 2026. His successor, hired as Vice President–Finance on 4 December 2025, took over on 14 May 2026, the day before the FY26 call. The handover looks planned. The co-founder Purvi Patel stepped off the board in August 2025 'to pursue philanthropic and social work independently' and was back inside the company 15 days later as head of strategy on the same pay. The four independent directors have not changed, and the auditor has not changed. The related-party schedule, on the other hand, is busy: Secure Connection supplied ₹155.39 Cr of goods in FY26, shareholders were asked to approve up to ₹750 Cr for FY27, and a director-linked retailer, Click Retail, carried a ₹47.74 Cr outstanding balance at year-end that the notes do not fully explain. None of this is improper on its face. It simply means the quality of the numbers rests on trusting a small circle.

Put the promises on one page and a pattern appears. On revenue, management has met or beaten itself: FY26 revenue from operations of ₹2,699.77 Cr (₹2,704.62 Cr in the audited statement, which adds ₹4.84 Cr of export entitlements) against the ₹2,100–2,200 Cr it called for three years earlier, FY25 inside the guided ₹1,600–1,900 Cr range, and FY26 profit of ₹70.29 Cr against ₹60 Cr 'or slightly better'. On the licence business the record is mixed. In May 2023 the CFO said 'we will at least be INR500 crores in Honeywell or any other brand' by FY26; the delivered figure was ₹369.61 Cr. In May 2024 the FY23 base was described as 'Rs. 80 crores odd' so that growth could be called more than 100%, when the company's own May 2023 figure was ₹108 Cr and growth was 57%. On cash and margins the record is poor: 5% EBITDA by FY25 became 4.04%, a 4.5–5% PAT' margin by FY26 became 2.59%, and operating cash flow was positive in one year out of eight.

THE PROMISE-VERSUS-CASH TEST

Whenever management states a multi-year aspiration for margin or growth, put two numbers beside it: operating cash flow in the same year and the change in receivable plus inventory days. Credibility is earned where the aspiration and the cash agree. Here, revenue guidance passes the test and margin and cash guidance have failed it, so weight the first accordingly.

One date sits over everything: March 2027, when the Honeywell licence comes up for renewal. Ketan Patel says: 'we are very sure that the Honeywell license will get renewed after March '27', and he points out that Honeywell itself is splitting into separate companies. Notice, though, that the licence term has been described four different ways in the filings and calls: 31 December 2020 in the prospectus, December 2025 in May 2025, the end of 2027 in November 2025, and March 2027 in May 2026. The December 2025 date has also passed without any disclosed renewal event, and by May 2026 the chairman was again describing March 2027 as the next renewal. I do not read that as a warning, only as a reason to ask for the paperwork. Management agreed in November 2025 that the brand business supplies roughly half the group's EBITDA on about 14% of revenue. The licence is therefore the one asset whose loss or repricing the business could not absorb, and its renewal terms are the first thing I would want to see.

So what does the history tell you? Three things. First, this is a company that spots categories early and moves before the numbers justify it: air purifiers, quick commerce, Make-in-India surveillance. Second, it grows by adding capital-hungry business lines and then discovers the working-capital bill, usually a year after the revenue. Every one of the four regimes shows profit rising while cash lagged. Third, its management gives dependable one-year guidance and undependable three-year aspirations. It now asks you to accept ₹6,000 Cr of revenue by FY29 with a 40% Brand share, which means Brand growing from ₹381 Cr to ₹2,400 Cr, roughly 85% a year for three years. Ketan Patel himself cautions: 'you should not be overconfident', because 'something keeps happening, right?' I would treat the revenue target as plausible and the brand mix as unlikely, about one chance in four. Judge the next 12 months by cash conversion first and by headline growth second.

CHAPTER II

Inside Every Segment — Products, Customers & Real-World Examples

> *"we see distribution as a strategic infrastructure, which gives us cost leverage, which gives us visibility and also gives us foot into the door."*
>
> — KETAN PATEL, CHAIRMAN & MANAGING DIRECTOR, Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026

Let me give you the ledger first and the stories second. Creative reports two segments. Market Entry Specialist made ₹2,318.92 Cr of revenue in FY26 and Brand Business made ₹380.86 Cr. In the half-year to September 2026 the numbers were ₹1,014.81 Cr and ₹213.39 Cr. I checked those against the audited note, the reviewed results and the investor presentation, and they agree to the rupee. Brand is about 14% of the revenue and, on management's own account, close to half of the EBITDA. If you remember only one thing from this chapter, remember that gap: a segment that is one-seventh of sales produces roughly half of the profit, and the other six-sevenths earn their living on very thin spreads. Keep the labels in view as we go: Market Entry, Brand, order, award, licence. Each one hides a precise legal meaning, and the money behind them differs enormously.

Now open the larger segment, because its label is misleading. 'Market Entry' sounds like a company ushering foreign brands into India. In FY25, when the older four-way split was still published, about 80% of it was something else: the enterprise business, ₹1,205.95 Cr of it. Ketan Patel has described it simply: 'it is basically back-to-back business, which you sell to large corporates.' Gross margin was 2.09% in FY25. Think of a trader who takes an order from a buyer, places the matching order with a supplier, and keeps two paise on the rupee for arranging it. The business needs almost no warehouse, but it needs trust, and it needs credit when the buyer is slow. It is also the line that has swung most. In FY24 about 73% of group revenue was billed outside India, and in FY26 it was 33%. I mention it now because the rest of the chapter keeps returning to that two-paise margin.

That geographic swing is the single most useful fact in the chapter. India-billed revenue was ₹678 Cr in FY25 and ₹1,797 Cr in FY26. Billing outside India fell from ₹1,096 Cr to ₹903 Cr. The parent company's own overseas billing, which is almost all Market Entry exports,

was about ₹960 Cr in FY25 and ₹754 Cr in FY26. Crisil says the largest customer was 25% of revenue in FY26 against 50 to 60% historically. The filings do not name that customer, so I will only say what I would say to a colleague: the size of the old concentration matches the size of the overseas book, and one large buyer has been replaced, in part, by a larger number of Indian buyers. That is a good change for risk, and a costly one for working capital.

Before the first walkthrough, a word on channels, because 'distribution' hides how the goods actually reach people. The annual report lists general trade, large-format retail, e-commerce, quick commerce, direct-to-consumer websites and the government e-marketplace. In India, the chairman says, only 8 to 10% of consumer electronics is sold online and 80 to 90% is offline, although quick commerce is eating into both. In the Middle East it is nearly all modern retail, with online at about 2%. Honeywell is in 450 Nesto stores in Saudi Arabia and in Lulu and Saraf DG in Dubai, and it sold over 100% more through quick commerce in India, the UAE and Saudi Arabia in FY26. Retail listing is a fixed cost: Honeywell paid AED 450,000 to AED 500,000 a year for listing fees at chains in the Gulf. No channel revenue split is published, so this is the picture, not the accounting.

Let me take you to a stall in the first walkthrough. You are a crafter looking at a Cricut Joy on Amazon on Prime Day 2023. Behind that listing, Creative signed a distribution agreement in April 2023 and imported the machines through its Bhiwandi bonded warehouse. It sold about ₹55 lakh of product in two days, then ran 60 to 70 influencer demonstrations a year in Mumbai, Delhi and Bangalore. Creative buys on its own account and keeps a gross spread of roughly 6 to 9%, depending on the year. After logistics at about 1.1% of sales and selling cost, the parent's EBITDA margin on the whole distribution business was 2.58% in H1 FY26. The CFO once explained that brand-funded marketing is 'always passed through' and included in gross margin. So the headline spread is a little richer than the true one. The foot in the door is the point.

The second walkthrough is where the profit lives. A Delhi household orders a Honeywell air purifier on Blinkit. Honeywell does not make it. Creative designed it, a contract factory in China built it after Honeywell audited the plant, and a Hong Kong subsidiary, Secure Connection, bought it and sold it on. Ketan Patel is explicit about who sets the price: 'We can decide the price that we will sell the product.' Honeywell gets the greater of a minimum

guarantee or a percentage of sales. Gross margin is about 40 to 42%, marketing about 9% of sales, manpower 6 to 7%, and EBITDA about 13%. The residual of roughly 12 points must cover the royalty, freight and certification. The audited notes show a royalty expense of only ₹5.96 Cr, about 1.6% of Honeywell sales, which I take to be the licence charge although the note does not name the payee.

Here is a detail that shows where the margin sits. In the parent company's books, the Honeywell business in India earns a segment result of ₹24.53 Cr on ₹232.24 Cr of sales, 10.6%. In the consolidated books the Brand segment earns ₹126.29 Cr on ₹380.86 Cr, 33.2%. The difference is the margin captured by Secure Connection, which is 77.5% owned. Its chief executive, Mohit Anand, owns the remaining 22.5%, so ₹8.42 Cr of FY26 consolidated profit belonged to minority holders. I find this structure sensible and common, but I want you to see it: when you hear 'Brand earns 33%', the cash that comes up to Creative's shareholders is smaller, because Hong Kong keeps a share and the royalty line in the notes, at ₹5.96 Cr, is small enough to deserve a question about how it is set.

The third walkthrough is the one I most want you to read carefully, because the headlines can mislead. In May 2026 the company announced a ₹35.89 Cr order 'from the Food Corporation of India' for smart warehousing at 150 depots. In September, after an exchange query and an addendum, it clarified that FCI had awarded the project to a systems integrator called NebulArc, and that Creative's order came from NebulArc for its assigned scope. That is a sub-contract. It is established that the value is ₹35.89 Cr, the sites are 150, the commissioning window is 180 days and maintenance runs three years. It is not established what Creative's margin is. My estimate is 8 to 12% gross, or ₹3 to ₹4 Cr, which tells you the order is a credential and not an earnings event.

> **NARRATOR'S REFLECTION**
>
> A company's own labels deserve the same scepticism as any headline. 'Market Entry' is mostly enterprise trade, 'order from FCI' is a sub-contract, and 'brand margin of 33%' is a segment result before overhead and before the minority partner's share. None of this is dishonest, because every fact sits in a filing. It does mean the story that reaches investors is one notch rosier than the story in the notes, and the analyst's job is to read the notes.

BSNL is the same lesson at a hundred times the scale. The advance work order, announced on 6 June 2026, carries a consortium value of about ₹3,194.83 Cr for design, supply, construction and maintenance of BharatNet's Odisha middle mile. It is conditional on acceptance, performance security, an executed agreement and route-wise work orders. Creative's share is not disclosed. On the October call the chairman said 'you can expect net profit out of that close to 6% to 7% of the value we bill', and guided to ₹150 to ₹200 Cr of billing in the March 2027 quarter. At 6 to 7% that is real money, but it is two to three times the group's 2.6% PAT margin, so I would plan on 4% and treat everything above as a bonus. Two other releases that look like orders are not: one is an Amazon advertising award and one is a brand licence from AT&T.

> **MENTAL MODEL • WHAT IS ESTABLISHED, WHAT IS IMPLIED, WHAT IS ESTIMATED**
>
> For every order or partnership announced, sort what you read into three bins: what the document states (value, scope, counterparty), what it implies but does not state (margin, share, payment terms), and what you estimate and why. Here, FCI's value is established, its margin is implied by management's talk of higher percentage margins, and our 8% to 12% is an estimate. Keeping the bins apart prevents a press release from becoming a forecast.

The fourth walkthrough is surveillance. An integrator bidding for a state project needs cameras that meet the STQC rules. Ketan Patel spelled out three conditions on the call: no components sourced from China, software and board files made in India, and 'none of the directors or beneficiaries can be of Chinese nationals or Chinese citizens.' Matrix and Sparsh qualify, and Creative distributes both. Infinova, which Creative is buying for up to USD 4.00 Million, lacks STQC today because of its foreign ownership, and management says Indian ownership after closing cures the third condition. Management's goalpost is simple: 'the crucial number is to do INR75 crores' in the first full year, against ₹32 Cr last year. I like the logic, because the same integrators buy Honeywell cabling. I do not accept the chairman's claim that surveillance can reach ₹2,000 to ₹3,000 Cr in three years; the evidence supports a first rung, not the ladder.

The fifth walkthrough is the most honest one the company has given. WOZOYO, the owned brand, launched in the United States at the end of July 2026 because Creative cannot sell

Honeywell air purifiers there. Ketan Patel's strategy is 'build online trust and credibility', first on Amazon and TikTok, then in stores. In the first period it sold close to $2.2 million, about ₹20 Cr, with returns of 3 to 3.5% against 8 to 9% typical. The price of that start is advertising at about half of sales, falling to 12 to 14% once sales reach about a million dollars. Against a gross margin target of 37 to 40%, the early contribution is negative; at scale it is strongly positive. The company has spent about ₹12 Cr of a ₹20 to ₹22 Cr budget. This is a bet with a clear cost and a measurable exit.

Who buys, and who supplies? The annual report gives no top-customer table, so I patched one together. Crisil says the largest customer is about 25% of revenue, with a downgrade trigger at 40%. The channel is broad, with more than 10,000 trusted partners, 31 branches and 2,305 pin codes. Related-party customers total about ₹58.6 Cr, 2.2% of revenue, though one of them, Click Retail, carried a ₹47.74 Cr outstanding balance at the year-end, equal to 8.4% of trade receivables. On the vendor side the dependence is on one licence, Honeywell, which is about 97% of Brand revenue, and on small Indian makers who give little credit. That is why borrowings include ₹171.19 Cr of TReDS finance used to pay MSME vendors inside 45 days. When your suppliers are small and your customers are the government, someone must fund the gap, and today it is the balance sheet. I would rather you hold that uncertainty than assume the concentration is gone.

Look at what carries all this: 355 employees across the group, 202 of them permanent on the parent's rolls, 18 warehouses with 125,000 square feet, a bonded warehouse in Bhiwandi and fixed assets of ₹12 Cr against ₹937 Cr of total assets. Revenue per group employee is about ₹7.6 Cr. Employee cost was ₹21.30 Cr in FY26, 0.8% of revenue. This is an asset-light business whose only real asset is the working-capital ledger, and that is why the balance sheet moves so violently when the mix changes. It also explains why employee cost jumped 73% in H1 FY27, to ₹15.99 Cr from ₹9.26 Cr: the company is hiring people who understand servers, surveillance and AI, in the chairman's words 'similar kind of skill sets we also got into the company.' Hiring ahead of revenue is a cost today and a capability later. I would watch whether employee cost stays under 1% of sales, and whether the revenue per head holds as the new teams ramp.

There is a useful outside comparison. ASBIS, a Cyprus-based distributor founded in 1990 that serves Eastern Europe, the Middle East and Africa, did US$3.86 billion of revenue in 2025 with a gross margin of 7.22%, down from 7.98%, and runs four own brands in the same spirit as Creative. Its servers business jumped from US$255 million to US$699 million in a year, rather like Creative's FY26 surge in India. After 35 years its directors still describe own brands as an addition to the distribution business, and the blended margin remains single-digit. I take two lessons: the distribution book can scale a long way, and owned brands lift margin slowly. Creative's plan to be 40% brand by FY29 is far more ambitious than what ASBIS has achieved. Treat it as a base rate, not a verdict.

So here is how I would summarise the business to a colleague. It has four engines. An enterprise trade that moves large volumes at two paise on the rupee and swings with cash. A channel book that pays for the infrastructure and opens doors. A licence business, Honeywell, that earns the money from a single renewable contract, and sits offshore with a minority partner. And a set of new bets in surveillance, compute, drones and own brands whose revenue is still invisible in the segment note. FY26 added the fourth engine's early invoices and a lot of the first. In H1 FY27 the margin improved, Brand grew 43%, and cash flow turned. Your job is to ask which of those improvements is durable and which is timing. Everything in the next chapters, from margins to cash conversion to risk, is a test of that question.

GLOBAL PARALLEL • CENTRAL AND EASTERN EUROPE, CIS, MIDDLE EAST AND AFRICA; 1990 TO 2025 • ASBISC ENTERPRISES PLC (CYPRUS; LISTED IN WARSAW) (MOAT_SCALING)

An emerging-market IT distributor uses a thin-margin distribution book (smartphones, components, servers) to fund and feed private-label brands. Far East OEMs make those brands (Canyon, Prestigio Solutions, AENO, Lorgar), and they are sold through the same customers. It is the same distribution-to-owned-brand ladder Creative is climbing, now with a swing into AI servers. It started in 1990 distributing Seagate products in the CIS. 2025 revenue was US$3,862,999 thousand, up 28.4% from US$3,008,503 thousand. Gross margin fell to 7.22% from 7.98%. Net profit was US$60.2 million, up 11.2%. Servers and server blocks were US$698.8 million against US$254.7 million. The largest customer was 5.0% of revenue. It has about 20,000 customers in about 60 countries. Research and development came to US$1.1 million behind four own brands. ASBIS scaled revenue through the distribution book and a server boom. Its directors still call own brands a reinforcement 'if they are developed as an addition to the distribution business', and blended gross margin stayed in single digits after three decades. Creative's plan for a 40% Brand share by FY29 is far more aggressive than that outcome. Its FY26 surge was component- and server-led in the same way, so gross margin and cash conversion are the metrics to watch rather than headline growth.

CHAPTER III

How It Is Sold & Delivered — Distribution & Unit Economics

> *"we don't feel that, that is going to be sustainable in the long run."*
>
> — AJIT THAKUR, CFO, CREATIVE NEWTECH, Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026 (ON THE 45-DAY WORKING-CAPITAL FIGURE)

Stand with me for a moment at the dispatch bay of a Bhiwandi warehouse on a September evening. A container of monitors has arrived from a factory in Asia, another is being unloaded with Honeywell air purifiers, and a third lorry is leaving for a Chandigarh retailer who wants his Diwali stock in his shop twenty-five days before the festival starts. Creative Newtech's whole business is this choreography. In FY26 it moved 533 containers of imports and executed 55,453 domestic transactions, through 18 warehouses and 31-plus branches, with just 355 people across the group and 202 on the parent's permanent rolls. Do you see what that implies? Employee cost is under one rupee per hundred of sales. The company is a very thin layer between a vendor's factory and a customer's shelf, and everything we care about, margin, risk and cash, comes from how thick or thin that layer is on each road.

There are three roads, and I want you to learn them by heart. The first is channel distribution: Samsung monitors, Cooler Master cases, Lexar cards. Creative buys, stores and sells to ten thousand partners, and earns, on the audited segment note, about 3.8 paise for every rupee. The second is the enterprise desk, which management itself describes as a back-to-back business where, as Ketan Patel put it on the 18 August 2023 call, 'we don't invest any money'. The third is the Honeywell and owned-brand road, where Creative designs, specifies, markets and sells goods built by contract factories, and earns 33 paise per rupee on the same note. Eighty-six percent of sales travel the first two roads. Fifty-nine percent of the gross earnings come from the third. Hold that asymmetry in your head; it recurs in every chapter.

Before we price an invoice, ask who can walk away. Creative's partner brands are not captives. The 2017 prospectus warned that vendors may renew 'at the discretion of partners', may terminate on written notice and may appoint other distributors where an agreement is

non-exclusive. In FY2016 its top ten suppliers were 52.79 percent of purchases. The FY26 annual report is gentler, noting that many brands have named Creative their exclusive partner and stayed for more than five years, but it gives no current concentration number. I read that silence carefully. It is not proof of a problem; it is a gap in what the shareholder can verify, and distribution is a business where a single lost order can erase a quarter's growth, as Ketan Patel reminded the 16 May 2025 call when he said that in the first quarter of FY25 the company 'lost a sale of almost INR200 crore plus' in enterprise.

Let me walk you through an invoice on the first road. A reseller in Jaipur orders thirty monitors. Creative's purchase cost might be ₹100 per unit of value; it sells at about ₹103.91, so the gross margin is ₹3.91. That is before warehouse charges, salaries and interest. Then the credit sits there. The audited ratios put receivable days at 76 and payable days at 27, so Creative lends the reseller money for forty-nine days longer than its supplier lends to Creative. At a 10 percent cost of money, those forty-nine days of net carry cost about ₹1.42 per hundred, which is more than a third of the gross margin. This is why the distribution trade lives on volume and discipline, and why Ketan Patel said on the 17 May 2024 call that if enterprise orders do not earn a 20 percent return on capital, 'then we will not do that business because capital is limited'.

Now the second road, where the Make-in-India shift has changed the rules. Until two years ago, Creative's vendors were mostly multinationals who gave long credit and shipped from big plants. Surveillance and AI brought in smaller Indian makers who cannot finance a big order, so Creative pays them in advance, and whose customers, often government departments, pay late. Ketan Patel explained the margin side on the 15 May 2026 call: the vendors' 'size is much smaller and that's why you get a higher percentage margin'. The CFO explained the cash side: 'to get into the new area, we have to extend the extended credit'. Both statements are true and both appear in the numbers. Gross margin rose and vendor advances rose; other current assets went from ₹114 Cr to ₹161 Cr over FY26 and to ₹272 Cr by September 2026.

Then there is Honeywell, and I want you to picture what it is not. It is not a factory. Secure Connection Limited in Hong Kong, 77.5 percent owned by Creative, holds the trademark licence and runs a fabless model across 28-plus contract facilities in Asia, with its own

quality-control office in China and outsourced logistics. It sells to distributors in 38 countries and to Amazon, Noon, Shopee, Lazada, Blinkit and Zepto. Its royalty expense line, which I take to be the Honeywell licence charge, is just ₹5.96 Cr, about 1.6 percent of Honeywell sales, and the royalty barely moved when Brand revenue rose 41 percent. Mentor-to-student: when you see a cost line that does not scale with revenue, ask who set it and when it resets. The answer here is a licence that renews in five-year blocks and that Ketan Patel said on the 15 May 2026 call 'will come for renewal in March 2027'.

The brand road has one more mechanic that investors miss: it borrows from the distribution road. Ketan Patel was blunt about it on the same call: while building Honeywell it 'was very dependent on the market entry business because the cash flows, the infrastructure, everything was used of this business'. The Honeywell team uses the same warehouses, the same finance team and the same bank lines. That is why a segment with ₹122 Cr of assets can earn ₹126 Cr of segment result, and also why the 33 percent number flatters it: the brand pays no rent for the shared infrastructure, and the low-margin road pays it. Management's plan is to separate the two businesses in two to three years, but not for the next fifteen months. Until then you should read the segment note as a gross-profit map, not a stand-alone profit and loss.

Look now at how the calendar shapes the cash. FY26 revenue by quarter was ₹393 Cr, ₹655 Cr, ₹912 Cr and ₹740 Cr. Q3 alone was 34 percent of the year, and the October-to-March half was 61 percent. Ketan Patel told the 29 October 2026 call why: retailers now take delivery 'at least 20, 25 days before the festival starts', and during the festival their warehouses are 'only outbound'. So the sale happens in September and the cash comes in November. Add a Diwali that fell a month later this year and you can see why Q2 FY27 total income grew only 14 percent while the biggest quarter still lies ahead. A year-end balance sheet in March therefore holds the debt and the receivables of a busy season, which is probably why a March snapshot of 76 receivable days looks so much worse than the 48 to 50 that management quotes as the average.

Now to the question that made me pick up this file: why did operating cash flow swing from a ₹271.88 Cr outflow in FY26 to a ₹351.24 Cr inflow in H1 FY27? In FY26 the answer is in plain sight. Receivables rose ₹327.34 Cr, 4.7 times the year's profit, because Q4 revenue

jumped 84 percent and because the new lines need credit. Ajit Thakur said receivables would normalise; Ketan Patel said they 'should fall back to the original number'. There is a second effect. About ₹171 Cr of supplier payments were routed through TReDS borrowings, so a part of the outflow is a classification effect: treat TReDS as supplier credit and the FY26 outflow shrinks to about ₹101 Cr. Both effects are legitimate, and I want you to hold both in mind when someone quotes you the headline.

> **NARRATOR'S REFLECTION**
>
> I have read many distributors' cash-flow statements and the pattern is almost always the same: a growth year burns cash, a stretch year borrows it back from suppliers, and the honest question is which of the two the next year will resemble. What I value in this file is that the CFO named the stretch as unsustainable before anyone had to ask. What I do not yet know is whether the 52 to 55 day target is a real operating plan or a comfortable range. I would feel better if the receivable ratio, and not the payables line, did the work in the next set of numbers.

The H1 FY27 reversal is where I stop nodding along. The presentation says it came from 'tighter control over receivables, inventory and payables'. I read the cash-flow statement line by line, and it says otherwise. Receivables rose ₹51.60 Cr. Inventories rose ₹13.03 Cr. Vendor advances in other assets rose ₹116.39 Cr. What produced the inflow was trade payables, up ₹281.90 Cr, from ₹185.11 Cr to ₹467.01 Cr, and other liabilities, up ₹192.83 Cr. The CFO was honest about it on the 29 October call: 'we don't feel that, that is going to be sustainable in the long run', and he guided to 52 to 55 days. So ask yourself what you would do with a half-year of cash that is rented from suppliers: spend it on growth, or hold it against the day they ask for it back?

Let me give you the arithmetic that keeps me balanced about this. Across the eighteen months the company generated ₹79.35 Cr of operating cash on ₹109.76 Cr of profit, a 72 percent conversion. That is not a failure; for a business that grew its revenue base by half it is respectable. But the composition changed. In FY26 the debt was the shock absorber: borrowings rose from ₹71.80 Cr to ₹324.26 Cr. In H1 FY27 suppliers took that role: borrowings fell to ₹194.00 Cr and cash rose to ₹206.36 Cr. Neither funding source is free, and neither is permanent. My own estimate, and I hold it at roughly 70 percent, is that a

sizeable part of the payable stretch reverses within two or three quarters, particularly through the Q3 stocking cycle.

Here is the same story as pennies. Out of every ₹100 Creative billed in FY26, ₹91.92 bought goods after stock changes, ₹0.79 paid staff, ₹3.92 paid everything else, ₹0.06 was depreciation, ₹0.76 was interest, ₹0.42 went to tax, and ₹2.60 was reported profit. Receivables absorbed ₹12.10 of the ₹100, stock ₹2.44 and other assets ₹1.54, while payables added back ₹2.71, so operating cash flow was –₹10.05 and, after ₹0.12 of capital spending, free cash flow was –₹10.17. Think about what that says. Creative reported profit and paid taxes on it, while the bank funded the sales. That is normal for a distributor in a growth year, and it is the reason a 2.6 percent margin demands a credit officer's discipline more than a marketer's imagination.

What should a careful investor take from this chapter? First, the mechanics are sensible. The footprint is lean, the bonded warehouse and customs status are useful, the platform listings are well chosen, and credit losses are tiny. Second, the profit engine is the brand road and the cash engine is the channel road, and they share a balance sheet. Third, the FY26 outflow was a real, receivables-led build, partly reclassified by TReDS; and the H1 FY27 recovery was mostly supplier and advance money that management itself calls temporary. Fourth, management's willingness to say so aloud is a point in its favour. I would watch the receivable ratio and the payable days each quarter. If payable days drift back toward 30 without receivable days falling, the next cash-flow headline will be a repeat of FY26.

> **MENTAL MODEL: THE CREDIT SANDWICH**
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> A distributor is a sandwich: vendor credit above, customer credit below, thin margin in the middle. Profit shows up in the filling; cash is decided by the bread. Check three numbers every quarter, receivable days, payable days and the gap between them, and you will see cash trouble a quarter before the income statement does.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *"Honeywell has a very small team of 4 people who do the licensing business, but they get a large revenue into that place."*
>
> — KETAN PATEL, CHAIRMAN & MD, CREATIVE NEWTECH, Q4 FY26 EARNINGS CALL, 15 MAY 2026

Let me draw you the map before we argue about the territory. India's technology distribution trade has three floors. On the ground floor are the giants. Redington booked ₹1,19,347 Cr of revenue in FY26, Savex about ₹35,301 Cr, and Rashi Peripherals ₹15,827 Cr. They carry HP, Dell, Lenovo, Apple and Samsung and live on operating margins of two to three and a half percent. On the first floor sit the specialists, the distributors who take brands the giants do not want to nurse through their early years. That is where Creative's ₹2,705 Cr sits. On the top floor are the brand owners: CP Plus earned a 28.8 percent gross margin and 13.7 percent EBITDA margin in FY26. Creative wants to ride the lift from the first floor to the third, and every number in this chapter is a question about whether the lift is working.

Start with size, because it decides who sets prices. Creative's revenue is two and a quarter percent of Redington's and seventeen percent of Rashi's. It cannot out-buy anyone. When Ketan Patel explained on the 15 May 2026 call why Make-in-India vendors give a higher percentage margin, the reason he gave was that 'their size is much smaller', which is a polite way of saying that the big names are already taken. That honesty is useful. It tells you the company is not pretending to have scale advantages; it is choosing niches. The question is whether niches stay profitable once they are discovered, and distribution history says they rarely do. A category that earns a fat margin for a year attracts another distributor in the second year and a direct deal from the vendor in the third.

The cash picture of this industry should humble anyone who judges Creative's FY26 outflow in isolation. Rashi Peripherals, the second-largest listed IT distributor, reported negative operating cash flow of ₹114.6 Cr in FY23, ₹102.0 Cr in FY24 and ₹299.2 Cr in FY25 while reporting profits each year, and turned positive at ₹113.7 Cr only in FY26. Redington's own

management warned on its May 2026 call that working capital could go up because it may have to give more credit or stock excess to avoid stock-outs. So a growing distributor consuming cash is normal. What is not normal is relying on a single year of supplier-funded inflow to prove otherwise. When you read a distributor's cash flow, take eighteen months at a time, as we did in the last chapter, and compare the shape of the cycle, not the single quarter.

Now think about who can go around Creative, because every middleman lives with that fear. There are three ways it happens. A vendor can sell direct, as Samsung did when it left Savex as a key principal. A marketplace can become the distributor, as the hyperscalers did to Ingram Micro in cloud, where Omdia's analyst says vendors are concentrating around fewer distributors and the platform cost, 'tens, if not hundreds, of millions of dollars', widens the gap between giants and smaller players. Or the regulator can orphan a brand, as happened to Aditya Infotech, which was Dahua's national distributor for sixteen years and watched that business shrink by eighty percent. Creative has a pinch of all three exposures: it signed Dahua in FY26, it sells through Amazon, and its smaller brands are the sort that graduate to direct. I weigh the risk at about one in three over three years for at least one top-five principal changing its terms.

What does Creative add that a vendor cannot easily replace? I would say three things, in rising order of value. First, import and warehousing: 18 warehouses, a bonded mother facility in Bhiwandi and an AEO-T2 customs status make arrival and clearance predictable. Second, channel reach: 10,000-plus partners and branches in 31 cities who know how to sell a monitor or a cable. Third, brand-building judgement: the one thing Ketan Patel says took seven years to learn with Honeywell and which he now believes he can do in three and a half. The first two are replicable by anyone with capital. The third is the real asset, and it is a skill rather than a contract. That is why I give more weight to WOZOYO's early numbers than to any distribution agreement, and why I treat the first two as a necessary but unexceptional base.

Let me tell you the story the BrightPoint history teaches, because I want you to hold it beside Creative. BrightPoint was an Indianapolis wireless-device distributor with $5.2 billion of 2011 revenue and 112 million devices handled. In early 2012 it lost its biggest customer, Cricket, whose volume was 6.8 million devices, and one of its main vendors, Research in

Motion, accounting for about ten percent of its distribution business, began to fail. It cut guidance in February, laid off staff in March, and in early July withdrew guidance and agreed to be sold to Ingram Micro for roughly $650 million in cash plus $190 million of debt. Size did not save it. Two concentrated relationships moved together, debt stood in the way of a rescue, and as far as the record shows it had no brand of its own. Creative does have a brand road, and that matters; but the Honeywell licence is a single point of failure of the same kind.

So let us read the licence the way a lawyer and an analyst would together. The prospectus tells us the original agreement was dated 4 December 2015 and ran to 31 December 2020, with royalty on net sales. Ketan Patel told the 16 May 2025 call that 'the license agreement is kind of a perpetuity if you pay the minimum guarantee', renewing every five years. Then he gave three different renewal dates in twelve months: December 2025 on that call, 'end of '27' on 12 November 2025, and 'March 2027' on 15 May 2026. All three could be true only if different territories or categories sit on different five-year clocks, and none can be checked because the agreement itself is not public. December 2025 has since passed with no disclosed renewal event. When he says 'we are very sure that the Honeywell license will get renewed after March '27', I believe he believes it. I also note that the licensor's trademark team was six people in his 2025 telling and four in his 2026 telling, and that the licensor has a corporate split to complete.

Here is the part that should hold your attention. The royalty line in the audited notes was ₹5.96 Cr in FY26 against ₹5.88 Cr the year before, an increase of 1.4 percent while Brand Business revenue rose 41 percent. Think about what that means from Honeywell's side of the table. A licensee grows the brand by forty percent a year on a fixed-style fee, and the licensor's trademark team, which Ketan says is four people, sees that fee equal to 1.6 percent of sales. At renewal, would you ask for the same fee? I would not. As an illustration only, a royalty of five percent of Honeywell sales would be ₹18.5 Cr, ₹12.5 Cr more than FY26, or fifteen percent of the year's pre-tax profit. My probability range is about 65 percent for renewal on current terms, 25 percent for renewal with higher cost or narrower scope, and 10 percent for a loss of an important category or territory.

> **NARRATOR'S REFLECTION**
>
> I started this chapter expecting to write about competitors and ended up writing about a contract. That is how it often goes with distributors: the visible rivals are the ones you can name, and the invisible one is the licensor or vendor whose terms you cannot see. Creative's management has been unusually frank about the thin margin and the supplier-funded cash flow. I wish the same frankness extended to the text of the Honeywell licence, because the whole brand road depends on a document the shareholder has never read.

The stakes are visible if you do one calculation. Management expects the brand business to earn about thirteen percent EBITDA. On ₹381 Cr of FY26 brand revenue that is roughly ₹49.5 Cr, about 48 percent of the company's ₹103.95 Cr of EBITDA, from fourteen percent of sales. Of that, only 77.5 percent belongs to Creative's shareholders, since the Hong Kong subsidiary has a minority that took ₹8.42 Cr, or 12 percent, of profit after tax. Ketan has said the brand business will be separated in two to three years, though not for fifteen months, and that 'any brand which is not doing INR1,000 crores is not a brand'. Put those together and you see a company whose most valuable asset is a licence, whose management wants to hive it off, and whose remainder would be a distribution business earning three to four percent gross margin.

Regulation looks like a friend here, and I want you to be careful with that thought. From April 2026, internet-connected CCTV cameras in India need STQC certification, which excludes Chinese chipsets. Chinese brands had a third of the market in 2024; by February 2026 Indian brands held more than eighty percent, and CP Plus alone held 45 to 50 percent. Ketan Patel believes surveillance is a category where 'the government will never allow a foreign company to come in', and so he partnered with Matrix and Sparsh and is buying Infinova. The thesis makes sense. But whose moat is it? A moat that any rival distributor can cross by signing a certified brand protects the brand owner, not the distributor. The regulator creates a gate; it does not hand the gatekeeper's keys to Creative. I would rate this protection medium and localized, with Infinova the one asset that could make it Creative's own.

Is there anything that caps gross margin and anything that lifts it? The cap is plain: pass-through pricing in a business with 2.09 percent enterprise gross margin in FY25, broadline operating margins of two to three and a half percent, and input costs, memory, storage and

processors, which Ketan says rose thirty to forty percent in 2026. The lifts are mix, not magic. Brand share rose from 14 percent of revenue in FY26 to 19 percent in Q2 FY27, taking consolidated gross margin from 7.90 percent to 11.34 percent. WOZOYO sold about $2.2 million in its first months, with Amazon advertising near half of sales; Ketan says it must fall to 12 to 14 percent at a million dollars. Brand EBITDA margin of 13 percent and a path to 18 percent are the prize. I would say the cap is structural and the lift is plausible, which is an unsatisfying but honest summary.

My assessment of the moat is narrow and localized. For the market-entry road, with 86 percent of revenue and 41 percent of gross profit, I see no durable moat; I would put the chance that margins stay between three and four percent at about 80 percent. For the Honeywell franchise the moat is real but rented. For surveillance the moat belongs to Indian brand owners, and Creative's best route to share in it is ownership, which is why Infinova deserves more of your attention than the distribution agreements. Over five years I think it is about 60 percent likely that earnings quality improves as brand share rises and about one in four that a licence reset or a vendor loss pushes it back. Hold both numbers loosely. The next chapters will test them against profits and cash, and the renewal in March 2027 will be the cleanest test of all.

Before you move on, do the homework in the External Learning Hub. Read the Q4 FY26 and Q2 FY27 transcripts, not the summaries, and underline every place where Ketan Patel and Ajit Thakur disagree with the slide deck in tone. Open the annual report to the segment note and royalty line and draw the ₹100 waterfall yourself. Watch the founders' interviews and ask whether they talk about the licence as an asset they own or one they rent. Read Redington's call and Rashi's deck to see what a mature distributor's working capital looks like. Then compare the CP Plus presentation with Creative's brand segment and decide whether a ₹380 Cr brand segment at 33 percent is a business or a profitable chapter in someone else's book. A moat assessment is an opinion; the primary sources are the evidence.

MENTAL MODEL: WHO OWNS THE MOAT?

When a regulation, a trademark or a platform protects an industry, ask who holds the title deed. If any rival can sign the same certified brand or the same marketplace listing, the moat belongs to the brand owner or the platform. A distributor shares in it only if it owns the brand or holds an exclusive, renewable right that cannot be repriced at the licensor's whim.

GLOBAL PARALLEL • UNITED STATES AND GLOBAL MARKETS, WIRELESS-DEVICE DISTRIBUTION AND LOGISTICS, 2011 TO 2012 • BRIGHTPOINT, INC. (INDIANAPOLIS, GLOBAL WIRELESS-HANDSET DISTRIBUTOR) (FAILURE_BASE_RATE)

A thin-margin distributor dependent on a few vendors and customers lost its largest customer and saw a key handset vendor, Research in Motion, falter within months. It carried working-capital debt and, so far as the sources show, no consumer brand of its own to fall back on, so a vendor shock turned directly into a sale to a larger distributor. 2011 revenue about $5.2 billion and about 4,000 employees worldwide; RIM was about 10% of its distribution business; the lost Cricket account had been 6.8 million devices in 2011; February 2012 earnings guidance cut and March 2012 layoffs; a 2-cent-per-share second-quarter loss flagged and prior guidance withdrawn on 2 July 2012; agreed sale to Ingram Micro for about $650 million in cash plus roughly $190 million of assumed debt. Scale and a 112-million-device throughput did not protect BrightPoint once two concentrated relationships failed together. For Creative the analogue is the Honeywell licence and a handful of principals: the brand road is the shock absorber that BrightPoint lacked, but it is also a single, terminable dependency.

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *"Creative's business model is primarily of optimizing working capital. Success of our business depends on achieving higher growth through higher margin products and quick working capital cycle."*
>
> — CREATIVE NEWTECH LIMITED, Q4 FY24 INVESTOR PRESENTATION, MAY 2024

Let me start with a question an old distributor once taught me to ask before I read any income statement: what does this business tell me before it tells me its profit? For Creative Newtech the answer is four things, and you and I are going to follow them through this chapter. Gross margin comes first, because the costs underneath it barely move in a year. Brand share comes second, because it is how the company hopes to escape thin distribution margins. Working capital days come third, because they decide whether a rupee of profit becomes a rupee in the bank. Operating cash flow comes last, because nobody can redefine it. The company's own deck says it plainly: 'Creative's business model is primarily of optimizing working capital.' Keep that sentence in your head, because I am going to hold management to it.

Start with the margin, because the numbers are good. Gross margin was 7.59% in the December 2025 quarter and 12.09% in June 2026, and the market-entry segment, the old low-margin distribution book, doubled its contribution margin from 3.4% to 6.7% in six months. You would normally cheer. I want you to ask what the customer is paying for. The CMD answered on the 15 May 2026 call: 'While the margin is higher, your expenses are also a bit higher because these are smaller customers, so they can't really have a lot of money for larger orders cash flow.' Read that slowly. The higher margin is partly a fee for lending money to smaller buyers and suppliers. A margin that arrives together with fatter receivables is not free, and you should never read the one without the other.

Now the brand story, which is the heart of the pitch. Brand revenue was ₹213.39 Cr in the first half of FY27, 17.4% of the total, and 19% in the September quarter. Compare that with about 8% in FY23 and you can see real progress. But walk to the warehouse door and look at

the pallets: almost 97% of last year's brand revenue was Honeywell, a licence that, on management's own account, comes up for renewal in March 2027. The CMD has a bar for this business: ‘for us, any brand which is not doing INR1,000 crores is not a brand.’ By that bar the company has one half-brand, one new brand with about ₹20 Cr of sales in its first months, and a newly signed AT&T licence with no revenue. Brand share is, for now, a licence KPI.

Then there is the number I would watch before any other. Net working capital days were 75 at March 2026 and 45 at September 2026. The CFO, Ajit Thakur, was asked on the 29 October 2026 call whether 45 is a steady state, and I want you to notice how plainly he answered: ‘this is not sustainable to come to the level where we have to maintain this kind of level.’ Normal, he said, is 52 to 55 days. So the man who signs the numbers has told you that the best working-capital reading in two years should not be extrapolated. I admire that candour. But it also means you should treat the H1 cash-flow figure as a picture of one afternoon, not a trend, until a later balance sheet repeats it.

Let me take you through a slide, because market-size slides are where optimism hides. The company's deck says India's surveillance market grows 20.6% a year to $12.25B by 2030. Mordor Intelligence puts the 2025 base at $4.40B, close to the deck's $4.80B, but grows it at 9.94%. The deck says India's data-centre capacity was 4.48 thousand MW in 2025; the Council on Energy, Environment and Water says about 1.5 GW. The air-purifier growth claim of 24% sits against IMARC's 13.5%. None of this means the opportunity is small. It means the starting points are honest and the growth rates are about double what outsiders print, so I cut them in half when I think about runway. One more habit to learn: when a number moves inside the same company's own mouth, such as the India air-purifier market going from ₹3,000 Cr in May to ₹2,000 Cr in October, trust the direction of travel less than the existence of a range.

The bottom-up test is more sobering and more useful. The CMD told the October call that surveillance ‘can easily’ do ₹2,000 Cr to ₹3,000 Cr in two or three years. Picture what that takes. The two Indian brands CNL distributes made roughly ₹250 Cr and ₹400 Cr last year between them. Infinova India, the acquisition due to close by mid-November, sold ₹32 Cr last year, and the CMD's own first-year goal is ₹75 Cr to ₹80 Cr. The FCI order is ₹35.89 Cr.

You do not get to ₹2,000 Cr by adding up cameras; you get there only if project contracts such as BharatNet are counted as surveillance. So I give surveillance reaching ₹1,000 Cr by FY29 about a one-in-six chance, mostly through projects. That is not an insult to management; it is the difference between a market that is large and a share that is earned one certified product and one reference customer at a time.

Capacity deserves a sentence, because a student of distribution always asks where the bottleneck is. It is not warehouses. In FY26 the standalone company had 202 employees and ₹2,551 Cr of revenue, about ₹12.6 Cr per head, and employee cost was under 1% of revenue. The bottleneck is capital, and then judgement: how much advance to pay a small Indian component maker, how much credit to give a new corporate customer, how many days of stock to hold when memory prices rise 30% to 40%. The CMD described that last choice candidly in May: when material is short, 'you keep buying whatever material is available.' Those are decisions that need a seasoned finance function, and the finance function changed hands a month before results. I am not saying the new CFO is the wrong person; he has been candid on his first two calls. I am saying capacity in this business is a people-and-capital question, and you should ask who now owns the credit decisions.

Now the ₹6,000 Cr target, which I want you to treat as arithmetic before you treat it as ambition. From ₹2,700 Cr that is a 30.5% compound rate for three years. If FY27 grows about 20%, as the CMD said on 29 October with the words 'roughly give and take', then FY28 and FY29 must each grow 36%. The mix is harsher: brand revenue must go from ₹381 Cr to ₹2,400 Cr, which is 85% a year, while the CMD's own guide is 50% to 60%. The CFO put it simply: 'So from the INR6,000 crores, 40% is coming INR2,400 crores of revenue.' At the guided brand growth you land near ₹1,300 Cr to ₹1,560 Cr instead. The funding need, at 52 to 55 days, is another ₹300 Cr to ₹350 Cr, roughly what three years of profit can pay.

So what is my honest probability? I run four scenarios. If growth fades after the first half, FY29 revenue is about ₹4,465 Cr and I give that 35%. A base case of 25% growth gives about ₹5,300 Cr at 40%. Good delivery on BharatNet and brands gives ₹6,100 Cr at 17%, and everything landing together gives nearly ₹7,000 Cr at 8%. The weighted answer is around ₹5,280 Cr, and the chance of ₹6,000 Cr or more is about one in four. The chance

that brands reach 40% of sales is under one in ten. The CMD himself warned, 'you should not be overconfident'. I take him at his word and ask you to do the same.

Now to the part where we put management on trial, and I want you to be fair to them. I read nine earnings calls from May 2022 to October 2026 and listed fifteen specific commitments. Four were delivered, four partly, seven not. Here is the pattern. On 23 May 2022 the CFO said: 'by September we should be to show a positive cash flow for sure.' On 29 May 2023 he said again: 'we will have a positive cash flow this time for sure.' FY23 operating cash flow was –₹21 Cr and FY24's was –₹28 Cr. On 16 May 2025 the promise was 'we are going to bring down our working capital from 39 to 35'; the year-end figure was 75. Three promises, one theme, one outcome. That is a pattern, not bad luck.

Now the credit side, because a mentor who only lists failures is not teaching you anything. The same executives said Honeywell would reach ₹230 Cr to ₹250 Cr in FY25, and it printed ₹255 Cr. They said ₹360 Cr to ₹370 Cr for FY26. The CMD recounted the result on 15 May 2026: 'Our guidance was INR359 crores, INR360 crores. We did INR370 crores.' In November 2025 he pointed to about ₹60 Cr of profit 'or slightly better', and FY26 delivered ₹70.29 Cr. These are one-year numbers where the business controls the outcome, and management has been honest and often conservative on them. So the right reading is that you may trust their 12-month brand and profit guidance and distrust their multi-year margin, mix and cash promises.

> **NARRATOR'S REFLECTION**
>
> When I audit a promoter-run distributor I ask one thing: which of the numbers they promised can they move by themselves? They can move revenue by taking an order, and they did. They cannot move cash by announcing it; that needs a customer to pay and a supplier to wait. The honest scorecard on this call record is a company that is excellent at what it can book and poor at what it must collect, and every chapter that follows rests on that distinction.

Margin promises are where the drift is easiest to see. In August 2023 the plan was a PAT margin of 4.5% to 4.75% by FY25 or FY26. In May 2024 the CFO said 'within 2 years -3 years the PAT margins will look in the range of 4.5% to 5.56%.' In November 2025 it was 'another two, three years' again. Actual PAT margin was 2.59% in FY26 and 3.20% in the

first half of FY27. The target has been about three years away for three years. I do not read bad faith into that; I read an aspiration being repeated as though it were a forecast. The CFO even said in 2024: ‘that's our aspiration, it is not the guidance.’ Investors, not management, are the ones who turned it into an expectation.

> **THE TWO-CLOCK RULE**
>
> Management runs two clocks. The profit clock runs on orders and margins and ticks to guidance. The balance-sheet clock runs on payment terms and counterparties and ticks to whatever the weakest customer or the strongest supplier will allow. Believe the first clock's 12-month promises. Wait for a balance-sheet date before believing the second clock's.

Governance is the last piece, and I want to separate what is established from what is merely uncomfortable. Promoters hold 56.62%, steady for two years, and the annual report discloses no pledge. The auditor's opinion is unmodified. The CFO of four years resigned on 14 April 2026 and the new CFO signed the accounts on 14 May. The notes show a related-party balance with Click Retail of ₹47.74 Cr against ₹26.78 Cr of that year's sales, which I cannot reconcile. And the FCI release, headlined as an order from the Food Corporation of India, was clarified on 11 September to say the order came from a systems integrator. None of this is wrongdoing; every item is a question you would ask the audit committee. If you leave this chapter with one habit, let it be this: separate what the record establishes from what it merely leaves unexplained, and write the second list down so that the next quarter's filings can answer it.

CHAPTER VI

Following the Cash — Financials & Earnings Quality

> *"Profit is an opinion; cash is a fact."*
>
> — WELL-KNOWN ANALYST'S MAXIM

Let me put two numbers side by side and ask you to sit with them. In the year to March 2026, Creative Newtech earned a profit of ₹70 Cr and its audited operating cash flow was minus ₹272 Cr. In the six months to September 2026 it earned ₹39 Cr and operating cash flow was plus ₹351 Cr. The first number says the business ate cash on a scale equal to four years of profit. The second says it produced almost nine times its profit in cash. Both come from signed financial statements, so neither is fiction. Our job is to work out which is the real company, or whether the truth sits between them. That is the whole of this chapter: not what the profit was, but where the money went and where it came from. If you remember only one thing, remember that a thin-margin intermediary can show you a spectacular cash number and a terrible one inside eighteen months without a single customer having changed.

Let me start with the P&L, because it is calmer. Imagine a ₹100 invoice. After paying the supplier you keep about ₹8.50 as gross margin in FY26, then spend about ₹4.70 on staff, freight, marketing and everything else, which leaves roughly ₹3.80 of EBITDA. Interest takes 76 paise, depreciation 6 paise, tax about 40 paise, and you are left with ₹2.59. Revenue has compounded at 33% a year for seven years, but notice how little of the growth is margin. EBITDA before other income was 2.8% of sales in FY19 and 3.4% in FY26. This is a volume business with a thin spread, and a thin spread is only safe if the money that finances each invoice is cheap and quick. That is what the cash-flow statement tests. One more detail, because it will come back: the tax rate was 14% on a consolidated basis and 25% on the standalone company, because the Hong Kong subsidiary that holds the Honeywell licence pays no tax. So the profit you are looking at is already tilted toward the entity that is hardest for an Indian investor to see into.

Now follow one March invoice through FY26. India sales jumped 165% to ₹1,797 Cr while sales outside India fell 18%, and domestic buyers pay in 60 to 65 days with GST on top. Receivables went from ₹238 Cr to ₹565 Cr, up 138% on 51% more sales. The CFO, Ajit Thakur, explained it on the 15 May 2026 call: 'we are also getting into the new area of businesses like AI, surveillance and data center product line, where to get into the new area, we have to extend the extended credit.' I find that honest and unpersuasive in equal measure. It is honest because credit is the price of entry. It is unpersuasive because the same executives had promised in May 2025 to bring working capital down to 35 days, and it went to 75. When a CFO's explanation and his predecessor's promise sit in two consecutive annual reports, I read the explanation as information and the promise as a lesson about how much weight to put on future ones.

Where did the money come from? From banks, and from a financing route you should know about. The CFO told the same call: 'INR171 crores is the supply chain vendor financing for the MSME payment', and the CMD added that the government platform lets small suppliers be paid within 45 days. That is TReDS, and it is classified as borrowing, not as trade credit. So the balance sheet showed debt rising from ₹72 Cr to ₹324 Cr, of which ₹171 Cr was really supplier credit that a bank had advanced early. I want you to remember this, because it makes the FY26 operating cash flow look worse than a pure trade-credit view would, and it will matter when we try to read the swing in H1 FY27. It also tells you something about a company's financing culture: when a vendor-finance platform is available at 8% to 9%, it is easier to keep growing than to chase a debtor, and no one in the room has a reason to stop.

Let me decompose FY26 properly. Of ₹435 Cr put into current assets, three-quarters went into receivables, 15% into inventory and 10% into advances to suppliers. If debtor days had stayed at last year's 49, operating cash flow would have been about minus ₹67 Cr, so roughly ₹205 Cr of the outflow was customers paying slower. Even then, the remainder is real: ₹66 Cr went into stock as memory and storage prices rose 30% to 40%, and ₹42 Cr into supplier advances. The company's own deck explains the second item: 'vendor credit remains limited, resulting in higher advance payments.' So here is the business in one sentence: it pays small suppliers early, sells to bigger customers late, and earns a spread of about 3% for carrying both ends. That is a perfectly respectable business, banks do something similar, but you

would never value a bank without asking about its funding, and you should not read this company without asking the same question of its suppliers.

Now H1 FY27, and I want you to read the cash-flow statement the way a forensic accountant would, line by line. Operating profit before working capital was ₹63 Cr. Receivables took ₹52 Cr, supplier advances ₹116 Cr and inventory ₹13 Cr. Then trade payables added ₹282 Cr and other liabilities ₹193 Cr. After tax, the total is ₹351 Cr. Notice what that means: only ₹58 Cr of the ₹351 Cr is cash earned by the business after tax. The other 84% is liabilities growing faster than assets. Payables went from about 26 days of purchases to between 66 and 77 days. Nothing wrong with a supplier agreeing to wait, but you should ask how long a supplier is willing to be your bank. In a seasonal business the answer is usually until the season ends, and the season for this company's biggest quarter had not yet started when the half closed.

There is a small clue that I find more convincing than any commentary. In the September quarter the company paid ₹9.30 Cr of interest, the highest ever. At a blended cost of 9% to 11%, that is the interest on roughly ₹340 Cr to ₹410 Cr of debt, yet the borrowings on the balance sheet were only ₹194 Cr. The only way both are true is that the debt was high for most of the quarter and repaid at the very end. Cash tells the same story: ₹206 Cr in the bank on 30 September and ₹5 Cr six months earlier, when the same company was drawing on every bank line it had. When cash and payables both spike on one date, I treat the date as a photograph, not a film. Ask for the film: monthly balances. A company that told you its average debt through the quarter, not only its closing debt, would have answered this question in a single line, and one of the things I will ask for at the end of this chapter is exactly that disclosure.

> **NARRATOR'S REFLECTION**
>
> The most important discipline in distribution analysis is to refuse a single-period cash number. Cash flow in this business is a seesaw: whoever holds the float gets the cash, and the float moves between customers, suppliers and banks more often than profit changes. Over eight years the seesaw ran one way; over six months it ran the other. The truth is in the average, and the average is still negative.

Let me be fair about what could be genuine. Other current liabilities rose ₹197 Cr, and at March that line was 97% customer advances. The company won a ₹3,194.83 Cr BharatNet order in June with a consortium partner, and its own CFO described ordering 'substantial material' while waiting for quality certification from BSNL. Advance payments from a government-linked customer, matched by advance orders to suppliers, would show exactly this pattern: liabilities up ₹197 Cr, supplier advances up ₹112 Cr. That is a plausible and partly reassuring reading, but the filings do not say it. If it is right, those advances are not recurring cash flow either; they are mobilisation money that will be spent on equipment within a few quarters. I would put roughly even odds on that reading being the main explanation, which still leaves the other half of the jump in payables to be explained by supplier terms.

So is the inflow sustainable? The CFO told you himself on 29 October: 'this is not sustainable to come to the level where we have to maintain this kind of level', and normal is 52 to 55 days. I ran the arithmetic from there. At 52 to 60 days on revenue 20% higher, FY27 operating cash flow lands near ₹150 Cr to ₹220 Cr, which means H2 FY27 turns negative by ₹130 Cr to ₹205 Cr. If payables settle at 45 days of purchases and customer advances fall to a third, about ₹290 Cr to ₹340 Cr goes back out and net debt returns close to March's ₹302 Cr. My estimate is that 60% to 70% of the ₹479 Cr rise in payables and advances reverses over three or four quarters. Part of that is a concession management has already made, and the rest is a judgement you should hold loosely until the December and March balance sheets arrive.

What would a clean cycle look like? Think of the two businesses separately. Brands need 90 to 120 days of capital, by the CMD's own account, because you pay a factory and wait for Amazon, quick commerce or a Gulf distributor. Market entry needs 55 to 65 days of customer credit plus advances to small vendors, and your receivable includes 18% GST. Blend them and you arrive at 50 to 60 days of net working capital, which is management's own 52 to 55, and it is why I treat the year-end days as the number to track rather than the half-year days. On ₹3,000 Cr of annual sales that is ₹410 Cr to ₹490 Cr of working capital, against ₹337 Cr today. That gap of ₹75 Cr to ₹150 Cr is the part of today's position that belongs to your suppliers and customers, not to the company. Mind the labels: management's net working capital days match Screener's cash-conversion cycle at the year-ends, 42 and 75,

while Screener's separate working-capital days line, 50 and 47, is a different formula that I do not use. If you ever need a rule of thumb, treat any working-capital improvement that cannot be traced to collections or to a shorter supply chain as a loan until proven otherwise.

Returns are where this shows up as a trap. The company reports ROCE of 21% for FY26 and about 28% annualised for FY27. My own calculation on average equity plus debt gives 18.7% for FY26, and the capital added in FY26 earned only 9.3% pre-tax, about 8% after tax, against a cost of capital near 12%. For H1 FY27 the 19% looks excellent until you notice that ROCE ignores payables. If the extra ₹282 Cr of supplier credit were funded capital, the return falls to about 16%. Add the cumulative picture and the lesson is sharper: eight years of cash flow summed to minus ₹343 Cr of free cash flow, and one half-year gave back ₹344 Cr. The company has spent a decade borrowing from its future and then, once, borrowing from its suppliers.

> **MENTAL MODEL • WHO HOLDS THE FLOAT?**
>
> For any thin-margin intermediary, ask three questions of every quarter-end balance sheet: how many days of the float are held by the customer, by the supplier and by the bank? Profit is the spread; cash flow is only a change in who holds the float. A good quarter is one in which the bank holds less, but only if the supplier did not simply hold more.

I will not leave you with only suspicion, because the evidence for the business is strong. The auditor gave unmodified opinions. Ninety-seven percent of receivables are under six months old, and the provision is ₹0.77 Cr. Crisil reaffirmed BBB+ in August 2026 and noted that the largest customer is now about 25% of revenue against 50% to 60% historically. The honest flags are narrower: about half of FY26 profit, ₹37 Cr of ₹70 Cr, is earned in Hong Kong subsidiaries audited by other auditors; the tax rate is 14% because that profit is untaxed; and one related-party balance, Click Retail at ₹47.74 Cr, is larger than its year's sales. Noble Group's profits were real, too, until the cash gap told a different story. I am not comparing the two businesses; I am comparing the shape of the numbers, and the lesson from Singapore is that the shape deserves an explanation before the story does.

So here is my judgement, with the probabilities attached. I put about 85% on the profit being economically real, and about 20% on genuine cash compounding, where payables and

advances prove to be structural and cumulative cash flow tracks profit. I put 55% on the middle case, a real, cash-hungry growth business funded by banks and vendors at 9% to 11%, and 25% on stretch and reverse. The single weakest assumption is that ₹683 Cr of vendor payables and customer advances at 30 September is recurring. A quarterly balance sheet with the advances split by project, the TReDS balance shown separately and average debt disclosed would settle it. Until then, read the +₹351 Cr as a loan from the future, repayable in instalments. I would be delighted to be wrong, and the December quarter will tell us quickly.

> **GLOBAL PARALLEL • SINGAPORE-LISTED COMMODITY TRADER, 2009 TO 2018 • NOBLE GROUP (FAILURE_BASE_RATE)**
>
> A thin-margin intermediary reported large, steady profits for five years while cumulative operating cash flow was negative. It bridged the gap with bank and trade-finance lines until short-seller scrutiny, write-downs and a junk rating forced a debt-for-equity restructuring. From 2009 to 2014 reported net profit was S$2.4 billion against cumulative operating cash flow of −S$500 million and cumulative free cash flow of −S$2.4 billion (case-study figures). Over 2010 to 2014 turnover growth was +228% while inventory days fell from 26 to 13. In Feb 2015 it took a $440 million asset write-down, and in Dec 2015 it received a junk rating. It reported an annual loss of $4.9 billion in 2017. In Jan 2018 it agreed a $3.5 billion debt restructuring, with creditors taking 70% of the equity . The tell was a multi-year gap between profit and operating cash flow that the headline growth hid. CNL's gap is different in kind. Its profits are margins on invoices that age cleanly (96.7% of receivables under six months) rather than fair-value gains. Even so, its cumulative FY19 to FY26 cash flow of −₹328 Cr against profit of ₹241 Cr has the same shape, so the H1 FY27 swing must be proven repeatable rather than assumed.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *"Price is what you pay. Value is what you get."*
>
> — WARREN BUFFETT, BERKSHIRE HATHAWAY SHAREHOLDER LETTER, 2008 (CREDITING BEN GRAHAM)

Let me start where every desk conversation about a stock should start, with what you actually get for your money. At ₹1,458.40 you are paying ₹2,190 Cr for Creative Newtech, and the multiple on the profit that belongs to its shareholders is 30.7 times. Notice that I said belongs to its shareholders. The popular screens print 27.2 times, and the difference is a quiet piece of bookkeeping: they add up four quarters of profit before the 12% that goes to the minority partners in the Hong Kong licensing company. Picture the warehouse in Bhiwandi at quarter-end. The goods on the shelves are yours; the partner's share of the licence income is not. When you and I compare this stock with Redington or Rashi, the honest number is 30.7, and the habit of using the flattering one is how cheap stocks get invented.

Now the balance sheet, because enterprise value is the price of the whole business rather than only of its shares. The company holds ₹224 Cr of cash and owes ₹194 Cr to banks, so it looks net cash by ₹30 Cr. I would like that to be true, and I would like you to ask where the cash came from. At 30 September, suppliers were owed ₹467 Cr and customers had paid ₹216 Cr of advances, ₹683 Cr of other people's money in total. Chapter 6 estimated that 60% to 70% of the recent rise in that funding goes back out within three or four quarters, which would turn the small net cash into net debt of ₹260 Cr to ₹310 Cr. Run the same sum on that footing and the stock is on about 19.7 times operating earnings, not 17.2. A balance sheet is a photograph of one day, and this one was taken on a good day.

Here is the part I want you to feel before you see a single table. Between the last March close and today, earnings per share rose 15.6%, and the price multiple rose 2.4 times. The stock went from 12.9 times profit to 30.7 times in seven and a half months. The company did well, but the main thing that changed was the market's willingness to pay. Ask yourself what the

owner of a small distribution business would think of an offer that doubled in a quarter without his sales doubling. He would be flattered, and he would also wonder what the buyer knew. I do not say the buyer is wrong. I say that from here you are no longer buying the past gain, only the expectations it was built on.

What were the expectations built on? Look at the calendar. On 13 July the board approved a budget of up to four million dollars for Infinova, and the stock jumped 10.8%. On 4 November it approved Zicom SaaS and the stock rose 17.0% in a day. On 12 November it announced an AT&T licence, touched ₹1,550.20 and closed at ₹1,475. Only the results week came with numbers. And the notice of 31 October about fund-raising? It turned out to mean a share swap: 2,25,000 shares, about 1.5% of the company, to the sellers of Zicom, plus ₹25 Cr of cash. The chairman had told the 29 October call, “If an opportunity where we get to, say, acquire a brand… we will have to then raise capital for sure. But we are waiting for the right time. Currently, banks have been supportive and cash flows are good.” That is the honest position, and I would take him at his word while watching for the day it changes.

History is the best teacher a stock has, so let us read this one. Since the July 2017 listing the price has fallen between 41% and 51% five times. In March 2022 it peaked at ₹746, and thirteen months later it stood at ₹363.20, down 51%. Now look at what the company did over the same months: sales rose, and EPS rose 47% in the year to March 2023. The profit did not fall; the multiple fell from 56 times to 18.6 times. I have sat in many rooms where a promoter explains a falling price by pointing to growing profit, and he is half right. Profit is the floor under a stock, and the multiple is the lift in the elevator. When the lift drops, the floor looks very far down.

There is a comforting half to the story too, and I would be misleading you if I hid it. Each of those five falls was recovered, and quickly: the old peak was back within 0.8 to 6.2 months of each trough. From each low, the best close in the next twelve months was 91%, 199%, 787%, 139% and 179% higher. The market has always rewarded patience in this stock. But be careful with that record. The stock has fallen 41% to 51% five times and recovered five times, which is also the description of a stock whose holders must be willing to sit through a 40% loss and a year of boredom to collect. Today's 30.7 times is above seven of the eight March

readings since 2019, which ran from 10.7 to 54.3 times with a median of 17.3. You are buying near the top of the stock's own usual range.

> **NARRATOR'S REFLECTION**
>
> The number I would ask you to remember is 2.4. The share price went up 2.76 times since March; earnings per share went up 1.16 times; the rest, a factor of 2.4, is the market's mood. Moods are real and they can last for years, but they are the part of a stock's price that you cannot audit. This stock has halved five times in nine years and recovered every time, and I respect that record. I also know that the way to be wrong in a business like this is to be right about the profit and wrong about what to pay for it.

Let me introduce the tool I trust most for this kind of question, the reverse DCF. Instead of forecasting and hoping, you ask what the price needs the business to do. To earn 12% a year for five years at a 20 times exit, earnings per share must go from ₹47.44 to ₹128.50, a 22% annual climb. At a 25 times exit the figure is ₹102.80 and 17% a year. The company did grow EPS 35% a year from FY19 and 33% from FY22, so the arithmetic is not absurd. But I would ask you what it cost. Over eight years the business earned ₹241 Cr and consumed ₹328 Cr of cash in operations. Growth this fast has so far been financed by banks and suppliers, and the next five years begin from earnings nine times those of FY19.

> **MENTAL MODEL • PRICE = PROFIT × THE MULTIPLE, AND ONLY ONE OF THEM IS ON THE AUDIT REPORT**
>
> Split every price move into two parts, what the company earned and what the market was willing to pay for each rupee. Earnings are checked by an auditor and can be rebuilt from filings. The multiple is checked by nobody; it is set by growth stories, flows and mood. A holder's return is the product of both, so a holder who owns a business that grows profit 20% a year and sees the multiple halve has lost money. Ask, for any price, which of the two is carrying the weight.

Management's target is the best case for the stock, and it deserves a fair hearing. The CFO told the October call that the brand share should go from 19% to 40% by FY29, adding that “that is very realistic kind of expectation from 19% to 40%.” On revenue of ₹6,000 Cr and the profit margin management aims for, earnings per share would be somewhere between

₹159 and ₹177, which would make today's price look cheap. I gave that outcome about one chance in four in Chapter 5, and the chance that brands reach 40% of revenue at under one in ten. Weighted across all four of those cases and a margin that is lower than management's, FY29 EPS comes to ₹89.30. At 25 times that is worth ₹2,233, and at 20 times ₹1,786. Those two numbers are the whole argument: 15% a year for the optimist's multiple, and 7% a year for the sceptic's.

Now let me say what the market is not paying for, because it is the most important sentence in this chapter. It is not paying for cash. In the first half of this year operating cash flow was + ₹351 Cr, and about 84% of that came from a net release of working capital, mainly payables and advances, rather than profit. The same CFO who gave us the 19% to 40% forecast said of the 45-day working-capital figure, “we don't feel that, that is going to be sustainable in the long run,” and called 52 to 55 days normal. When a company's own finance chief calls his best number temporary, nobody should pay 30 times for it. And yet the stock does. That tells me the price is resting on the brand story and the surveillance story, and the cash story is a footnote that the next two balance sheets will either promote or bury.

So I built three worlds and gave each a probability. In the bull world, with a 20% chance, sales grow 26% in the second half and 30% next year, the margin reaches 5.25% and the market pays 25 times: ₹2,347, up 61%. In the base world, with a 50% chance, growth is 15% and 24%, the margin settles at 4.55% and the stock gets 21 times: ₹1,352, down 7%. In the bear world, with a 30% chance, growth fades to 8%, the margin slips to 3.8% and the multiple falls to 14 times: ₹472, down 68%. Weighted together it is ₹1,287, which is 11.7% below today's price. Only the bull case beats the market. I am not saying the bull case will not happen; I am saying that you are being paid for one outcome in five and paying for all of them.

The cross-check from the other side is simple enough to do on the back of an envelope. Take 59% of the profit as brand profit, worth 25 times, and 41% as distribution profit, worth 13 times like Redington and Rashi. The blend is 20.1 times, which is where my 21 times base multiple comes from, with one notch added for growth. Applied to today's earnings it gives ₹953. Applied to next year's base earnings it gives ₹1,293. The peers show how fickle the market can be with distributors. Rashi grew revenue 51%, trades at 11.9 times and fell 22%

in a month. Redington fell 10%. CP Plus, which owns its brands and earns a 14.7% margin, trades at 82 times. CNL sits between the two groups because it is partly each, and that is exactly why its multiple is most exposed to news.

I want to leave you with an old story, because I think the shape of it applies. InfoSonics was a Latin American handset distributor, with one big vendor, Samsung, and one big country, Argentina. In 2006 it launched its own brand, verykool, and told investors that owning the product would lift its margins. Sales rose 65% that year, the stock traded as high as $16.76 in the range its own annual report cites, and the earnings behind it were $0.16 a share. A year later gross profit had fallen 39%, the company posted a loss, and the share price was $3.07 by June and $0.90 at its low. I am not comparing the businesses; CNL's brand margin shows up in its audited numbers. I am comparing the vulnerability. Distribution paid the bills, the brand earned the multiple, and a single concentration risk could take both away.

What does all this mean for the three kinds of person who might be reading? If you think in weeks, valuation will not save you or sink you, and the tape chapter that follows is the right tool. If you think in two years, the evidence that decides this is not yet on file: a December balance sheet, a March 2027 one at or below 55 working-capital days, the Honeywell renewal and its royalty terms. If you think in five years, the return from here depends on the multiple at the end more than on the revenue, about 7% a year at 20 times and 15% at 25 on my weighted odds. I have not told you what to do, and I will not do it here. Chapter 9 carries the verdict, and I want you to arrive there knowing exactly what the price assumes.

GLOBAL PARALLEL • UNITED STATES AND LATIN AMERICA, WIRELESS HANDSET DISTRIBUTION, 2006 TO 2011 • INFOSONICS CORPORATION (VERYKOOL HANDSETS) (CYCLE_VALUATION)

A thin-margin handset distributor with one dominant vendor and one dominant country launched its own brand and told investors the brand would lift gross margins. It was priced on growth and that promise before the brand showed up in gross profit. The multiple then converged back as cash and concentration risks surfaced. 2006: net sales $240.9 million (+65%), net income $2.5 million or $0.16 a diluted share. The 10-K reports the closing price ranged from $16.76 to $0.90 between 1 January 2006 and 20 March 2008. At $16.76 against $0.16 of EPS the multiple was about 105 times. 2007: net sales $244.7 million (+2%) and gross profit down 39% to $11.5 million from $18.8 million. There was a net loss of $1.6 million, covenant waivers on a $26.8 million bank line, and the stock at $3.07 on 29 June 2007. Samsung affiliates were 83% of cost of sales in 2007; Argentina was 54% of sales. In 2009 over 95% of roughly $231 million of net sales was Samsung product to Argentine carriers, and an Argentine import rule ended that distribution business in 2011. The vulnerability is the same shape as CNL's: a single licence behind 97% of brand revenue, a largest customer near 25%, and thin distribution margins funded by debt and suppliers. The difference is that CNL's brand mix already shows in gross margin (11.3% in Q2 FY27 against 7.9% a year earlier). Its profit is also audited and growing. The lesson is that a distributor re-rated for a brand story converges back whenever concentration or cash bites; the re-rating lasts only if reported cash conversion confirms it.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *"There is the plain fool, who does the wrong thing at all times everywhere, but there is the Wall Street fool, who thinks he must trade all the time."*
>
> — EDWIN LEFÈVRE, REMINISCENCES OF A STOCK OPERATOR, 1923

Let me start with the question beginners usually skip: what does it mean for a stock to be in an uptrend? Stan Weinstein's answer is simple and I like it. Look at a 30-week average, the price over six months of Fridays, and ask two things: is the average rising, and is the price above it? CNL's 30-week average is ₹958.91 and rising about 10% a month; the price is ₹1,458.40, which is 52% above it. The stock has been in Stage 2 for 20 weeks and has gained 77% in that spell. When I look at that chart, I see an uptrend that is real. I also see one that is only five months old, in a market that has handed the stock a doubling in six. Real and young is a good combination for a position, and a poor one for a purchase today.

Now let me show you the rubber band. The price is 21.3% above its 10-week average and 25.7% above the 50-day, and I wanted to know what that has meant before. So I went back through every Friday since the 2017 listing, and found eight episodes of stretch like this one. Of the seven we can read, four were higher 13 weeks later and three were lower by 6% to 22%. Across all the qualifying weeks, 39% of the time the stock gave back 11% or more over the next three months, which is exactly the distance from here to the top of the support zone. One in four fell 17% or more. A stretched rubber band is not a signal to sell. It is a reminder that a decline of a tenth is an ordinary event in this stock, not a crisis.

Volume is the part of the tape that is hardest to fake, so let me tell you how I read it. On 29 October and 4 November the stock traded about six times its normal volume on the way up, which is what a real breakout looks like. Since August the up days have averaged 54,417 shares and the down days 23,915, so buyers have been showing up when it matters and sellers have not. Then look at the last few sessions. The 11 November rally came on 58,241 shares, 6 November on 18,640 and 9 November on 9,721. On the last day, 14,339 shares

traded, 0.36 times the average. Think of a street with fewer and fewer people walking along it. The street may still be going somewhere, but you would want to know who is left.

Let me put a rupee figure on thin liquidity, because this is where beginners get hurt. Suppose you want ₹25 lakh of this stock. At ₹1,458.40 that is 1,714 shares, and 4.3% of a normal day's volume, which sounds harmless. But half the time a normal day is closer to 20,000 shares, so your order is 8.5% of the whole market for the day, and on a quiet day with 10,000 shares it is 17%. Imagine a warehouse with one narrow door. A single pallet goes through easily, and fifty pallets arrive at the same time as everyone else. A ₹10 lakh order is a pallet; a ₹25 lakh order is a trolley. Neither is a problem going in. Both can be a problem when the whole street is trying to leave.

> **NARRATOR'S REFLECTION**
>
> I have watched many stocks like this one, and the mistake that costs most is not buying late; it is mistaking a good company's chart for a good entry. The trend here is real and has the volume to prove it on the days that mattered. The price, today, is simply a long way from where anyone with a stop could sleep. The right feeling is neither fear nor greed. It is the patience of someone who knows the stock will give a second chance, or will not, and who has decided in advance which of the two is acceptable.

The surveillance label is the fact that changes how you can trade. NSE has put CNL in its long-term additional surveillance framework, Stage II. In plain terms, you must pay 100% of the value to buy it, you cannot trade it out the same day, and the daily price limit has been cut in half. I checked the bars and the cut shows: on 4 November the stock touched exactly 20% above the previous close, and on 11 November exactly 10%. That sounds like a nuisance and it is a risk. If bad news arrives, sellers can find the stock locked at the lower limit for a session or two, and the price you thought you could exit at is not available. NSE says surveillance is not a comment on the company. I believe that, and I would still plan for it.

Now the four-hour, daily and weekly charts, and why I look at all three. The weekly RSI is 72.96, above the 70 line that marks a stretched market. The daily RSI is 67.11, and the four-hour is 66.32. All three say the same thing at different speeds: strong, a little tired. The Bollinger band width is 41.97%, which tells you volatility has expanded with the move.

Many people expect a calm, tight base before a breakout; here we have the reverse, a market that went up fast and wide. And the four-hour chart has not turned. When a stretched stock stops rising, the first sign of a pause appears on the short chart, and that sign is not there yet. The market is neither rolling over nor consolidating; it is simply waiting.

You may have read that the stock gapped up in July and August. It did not, quite, and I want you to see why this matters. A gap is a hole in the chart, a day when the stock opens above the previous day's high and never trades below it, and holes tend to attract price later. I checked every bar since June and found just two: 8 June, after the BharatNet news, and a trivial one in August. The big July and November days opened near the previous close and ran, which leaves no hole to fall into. What the chart does show are shelves. Between ₹1,184 and ₹1,298 sit the 20-day, 10-week and 50-day averages together. Below that, the next real support is ₹975. If you ask me where a decline would find buyers, I would point to that zone, and I would point out that there is nothing underneath it for a long way.

Then there is the question of who the stock is rising with. Over the last month CNL is up 36%, Redington is down 10%, Rashi Peripherals is down 22% and CP Plus is down 5%. The stock is not riding a wave; it is the wave. The chairman said on the October call, “Demand is tremendous because AI has really, really made our current infrastructure redundant,” and the market has paid for that sentence. But a stock that rises alone has idiosyncratic support and idiosyncratic risk. When the story is Infinova, Zicom and AT&T, the story can change with one filing. And the volume in July reminds me not to count every busy day as a crowd: nine trading firms were on both sides of the bulk-deal tape on 24 July. Desks make volume. Owners make a base.

So what is the realistic short-term trade? I will be plain about it: at ₹1,458.40 I do not see one that has a good edge. The nearest support worth the name is the 10-week average at ₹1,202, which is 17.6% down. A stop that far is bigger than most traders can stomach, and a stop that is near enough is smaller than a normal ₹90 day. That conflict is what an extended stock looks like. Two things would change my mind. One is a pullback into the ₹1,202 to ₹1,298 zone on drying volume, the sort of fall that followed about 39% of the stretched weeks in this stock's history. The other is a new, tight base above ₹1,550 that holds for a few weeks and breaks out on rising volume.

THE STOP-DISTANCE TEST

Before any trade, write down two numbers: the distance to a stop that would prove you wrong, and the size of an ordinary day's move. If the stop is closer than one ordinary day, you will be shaken out by noise; if it is further than you can afford to lose, the entry is wrong, not the stop. In CNL today the stop that makes sense is 17.6% away and the ordinary day is 6.2%. When the test fails, the answer is to wait for a better entry, not to move the stop.

Let me talk about stops, because a stop is the only protection you have in a stock with no options. A stop belongs where the story would be wrong, not where the loss would be comfortable. If you buy at the top of the zone, ₹1,297.52, a weekly close below the 10-week average at ₹1,202 says the pause is longer than normal and costs about 7%. Two daily ranges below the zone top is ₹1,117, 14% away. A close below the 30-week average at ₹958.91 would end Stage 2 by definition, and is 26% below the zone top. Match the stop to the horizon: the nearer ones for a trader, the 30-week average for someone who plans to hold. And remember that in a 10% band market a stop is a wish, not a guarantee.

I should also tell you what you cannot do here. CNL is not in the futures and options segment, so there is no call to buy and no put to sell. You have cash equity and you have patience. Putting it all together, the technical gate for the stock reads CAP_WAIT_FOR_SUPPORT, which is the scanner's way of saying that the trend is good enough to keep watching and the price is too stretched to hand over capital without a better entry. I agree with the reading. The gate opens on a pullback into the zone on thin volume, or on a weekly close above ₹1,550.20 after a base. It shuts for anyone who holds if the 30-week average goes. What to do with all that, with the valuation and the quality of the business, is the job of Chapter 9.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"In the short run, the market is a voting machine, but in the long run it is a weighing machine."*
>
> — BENJAMIN GRAHAM, AS QUOTED BY WARREN BUFFETT IN THE 1993 BERKSHIRE HATHAWAY LETTER

Let me ask you to hold two pictures in your head at once, because everything in this chapter depends on keeping them apart. The first picture is a company: a Mumbai distributor that has compounded revenue at 33% a year for seven years, grown its profit more than twelve-fold, and just printed the best margin quarter in its history. The second picture is a share price: ₹1,458.40, up from ₹528.15 on the last day of March. Most investors blur the two. The company is good, so the stock must be good. This chapter is where you and I refuse to blur them, because a company can be worth owning and a stock can still be worth declining.

Start with the best case for owning it, and let me argue it as hard as its smartest supporter would. Profit is audited, and it is growing faster than sales. Brand Business, the licensed-and-owned half of the story, was 14% of revenue last year and 19% last quarter, and it earns around a third of its revenue as segment profit while the distribution road earns under four percent. If you believe in mix shift, you are watching a thin-margin intermediary turn, one quarter at a time, into a brand house. The balance sheet has also been repaired, with borrowings down to ₹194 Cr and a small net cash position. A supporter who stopped there would be right about every number.

Now the best case against, and I want you to hear it from the company itself. On the 29 October call, Ajit Thakur, the CFO, was asked whether 45 days of net working capital could be treated as a steady state. He answered: 'But always this is not sustainable to come to the level where we have to maintain this kind of level. So that would be in the normal range of around 50 days or 52 days that is the number what we are looking at.' Read that sentence twice. The manager of the company's cash is telling you that the very number that produced ₹351 Cr of operating cash flow in six months is below normal. About 84% of that inflow

came from a net release of working capital, with suppliers and customers funding the business, not from earnings.

How should you weigh a company that is good against a price that is high? Here is the arithmetic I use, and none of it needs a spreadsheet. On 31 March the stock cost 12.9 times the profit of the year just ended. Today it costs 30.7 times the profit of the last twelve months. The price rose 176%, while trailing earnings rose about 16%. That means the multiple itself grew 2.4 times while earnings grew 1.16 times: most of the gain is the market paying more for each rupee of profit, not the company earning more. A re-rating like that can be earned by evidence, and some of it was, but it is also exactly the part of a gain that reverses fastest when evidence disappoints.

Let me show you the three outcomes as a story, not a table. In the good outcome, which I give about one chance in five, working capital holds near 50 days, Honeywell renews on current terms, the brand share passes 20%, and FY28 profit per share reaches ₹93.90. At 25 times, that is ₹2,347, a gain of 61%. In the middle outcome, half the probability, sales grow, margins hold around 4.5%, working capital drifts to the 52 to 55 days the CFO himself expects, and profit per share is ₹64.38. At 21 times, which is the blend of a 13x distributor and a 25x brand house, that is ₹1,352, which is 7% below today's price. In the bad outcome, three chances in ten, part of the payables inflow reverses, the licence costs more, and the multiple falls to a distributor's 14 times on ₹33.73 of earnings: ₹472.

Add those up with their weights and you get ₹1,287, which is 11.7% below the close. I want to be fair about what that says and does not say. It does not say the company will fail; the bad outcome still earns ₹50 Cr after interest. It says that the price already pays for the middle outcome and a bit more, so a buyer today is being asked to hope for the top 20% while carrying the whole risk of the bottom 30%. Ketan Patel, the chairman, gave a useful warning on that same call: 'You should not be overconfident and then you should also see a circumstances right from 2000 GST to demonetization to COVID, to the Ukraine war to the Gulf war, something keeps happening, right?' That is the voice of a man who has run this business for thirty years, and it is the right instinct for an investor too.

NARRATOR'S REFLECTION

Good companies are not the same thing as good purchases. The whole discipline of this chapter is separating the two. Creative Newtech earns a conditional pass on business quality, and that is a respectable finding for a distributor. But a conditional business deserves a price that pays for the condition, and at ₹1,458.40 the price pays for the best version of it. Declining is not pessimism about the company; it is respect for the arithmetic.

Why not simply wait for the pullback? That is the question every careful investor asks, and it deserves a straight answer. The technical support band sits between ₹1,184 and ₹1,298, which is 11% to 19% below the close. If the stock came back there, you would be buying at 25 to 27 times trailing profit with the same business risks, and our base case, ₹1,352, would be only 4% above the top of the band. Risking ₹384 to the stop for a reward of ₹54 is a bet you should decline. The price that would pay you properly for the risk is about ₹1,089 on our numbers, where the base case clears 1.5 to 1, and that is a different conversation from buying a pullback.

THE ASYMMETRY TEST IN ONE LINE

Ask how much you could make if the base case happens, divide it by how much you could lose if the stop is hit, and require at least 1.5. For Creative Newtech from the top of the support zone, that is ₹54 of reward for ₹384 of risk: 0.14 to 1.

Let me give you the three horizons in plain terms. For the next three months, a trader has no edge, because the stock has risen 36% in a month while volume has faded to a third of its average; that is a market that is tired, not a market that is accumulating. Over the next eighteen months, the calendar is crowded: a shareholder meeting on 28 November approving shares for the Zicom SaaS purchase, Q3 results in February, and the Honeywell renewal in March. Each can surprise in either direction, but at 30.7 times earnings the good surprises are expected and the bad ones are not. Over five years the business could still be a real compounder, and I would not call it a stay-away; it simply has to prove the cash before it earns the multiple.

I should also tell you how the long-term arithmetic looks if management does what it says. Suppose Creative reaches our weighted FY29 revenue of about ₹5,280 Cr at a 4.55% EBITDA margin. Profit per share lands near ₹89. At 20 times that is ₹1,785, which is a gain of roughly 7% a year from today's price, below what you should demand for the risks in Chapter 6. If instead management delivers its full ₹6,000 Cr at a 5.25% margin, profit per share is about ₹126 and the stock at 20 times is worth ₹2,525, a 20% annual return. The lesson is that you are paying today for something close to the top of the range of outcomes, and that is not where I like to put new money.

So what do I tell you to do? For new capital, the verdict is REJECTED, and I mean the word. I did not write 'wait for support' because support would not fix the arithmetic. For your existing portfolio, there is nothing to decide, because the positions ledger shows you do not own a single share of Creative Newtech, so no hold, trim or exit action applies and zero shares are to be sold. For the cash itself, I looked at two names on the active shortlist and two outside, and none clears its own entry condition today: AJMERA and MANORAMA are a hair above their support bands, Redington is in a Stage 3 pullback with reward-to-risk under one, and Rashi is in a downtrend. Cash is not a failure of imagination; it is the position that wins when nothing clears the bar.

What would change my mind, and when will we know? I gave you four triggers in the table. The first is a price at or below about ₹1,089, with the stop at ₹913.79, which would make the base case worth 1.5 times the risk. The second is the Q3 FY27 result in February: net working capital between 52 and 55 days and nine-month operating cash flow of at least half of profit would tell us the H1 inflow was structural. The third is clarity on the Honeywell renewal in March 2027. The fourth is the 28 November vote and the final price at which new shares are issued for Zicom, without a larger equity raise behind it. If three of those four arrive, I would re-underwrite this stock from scratch, and I would not be embarrassed to change the verdict.

Let me close with the lesson that I think matters most for you beyond this one stock. A distributor is a business that is easy to grow and hard to finance. Growth shows up in the profit and loss account within a quarter; the cost of that growth shows up in the cash-flow statement and the balance sheet, often a year later and in someone else's ledger. Creative

Newtech has done the first part exceptionally well and has begun to prove the second. A disciplined investor does not need to pretend the first half of that sentence is wrong in order to decline to pay for the second half in advance.

Current holding decision: NOT HELD. NOT HELD (0 shares); no current holding to trim or exit.. Creative Newtech is not held in any account in the same-session positions ledger, so there are no shares to hold, trim or exit. The call for new capital is REJECTED and the alerts below are advisory re-underwrite triggers, not broker orders. Alert plan: Advisory alert on an unowned stock — Do not open a CNL position at the ₹1,458.40 close (30.7x trailing attributable EPS, 5.46x book value). Any future interest should be expressed through cash equity only; the stock is not in the NSE F&O segment.; Price at or below the re-underwrite level — Re-underwrite the business and re-run the 1.5:1 test. At about ₹1,089 the ₹1,351.93 base case clears 1.5 times the risk to the ₹913.79 stop, but only if the funding-quality questions in Chapters 5 and 6 have not worsened.; Q3 FY27 results (due February 2027) — Re-underwrite if net working capital sits between 52 and 55 days and cumulative nine-month operating cash flow is at least half of profit; treat a fall back toward 75 days or a negative nine-month operating cash flow as confirmation of the Bear case.; Honeywell licence renewal disclosure (due March 2027) — Read the renewal term, territory and minimum guarantee before any new work; a higher minimum guarantee or narrower scope lowers the base-case brand profit.; Weekly close above the ₹1,550.20 high on volume above 1.5x the 30-day average — Refresh the momentum read only; a breakout does not by itself change the REJECTED call, because the base-case value stays below the price. Capital redeployment: 0.00% to AJMERA (SHORTLIST): 0% today; a candidate for its own dossier refresh, not a transfer from this report.; Add only inside the support band while its uptrend holds and the existing position stays within its risk budget.; 0.00% to MANORAMA (SHORTLIST): 0% today; wait for a support retest before any staged allocation.; Revisit only inside the ₹1,869.54–₹1,957.58 band while its uptrend remains intact.; 0.00% to REDINGTON (OUTSIDE): 0% today; monitor the scale distributor peer without committing capital.; Require a hold of the ₹289.79–₹298.61 support band with volume expansion on the turn, or a base value that clears 1.5:1.; 100.00% to CASH (CASH): Retain the reviewed capital in cash or liquid treasury until a qualified candidate clears both the evidence and

entry gates.; Reassess when CNL clears the Q3 FY27 and Honeywell triggers, or when a shortlist name returns to its support band with an earned verdict.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): CNL has no liquid listed options chain (not in NSE F&O segment) – express any thesis strictly via cash equity.

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